PART 1

On National Development: The Development of Underdevelopment

He regards it as his task to brush history against the grain.
Walter Benjamin—Illuminations

The phrase, "the development of underdevelopment," has always been associated with Andre Gunder Frank ever since he published the widely cited article in *Monthly Review* with this title more than forty years ago. At that point in time, the study of socioeconomic and political change, widely known as "development," was framed around understanding it within the bounds of national territorial boundaries of a nation-state. The dominant theories at that time regarding development were based on stages of growth, diffusionism, and modernization. This modernization-developmentalist paradigm's main proponents such as Rostow (1960), Pye (1962), Parsons (1964), Hoselitz (1960), Lerner (1965), and McClelland (1967) contended that socioeconomic progress (or the lack of it) was due to the presence (or absence) of ingredients in each respective country/nation-state that were necessary for development to occur. Their positing of these necessary characteristics of development was based, ipso facto, on an ideal type of developed society conjectured within a value framework that was basically Western. Thus, when a particular country was experiencing difficulties in achieving any progress in socioeconomic and political growth the explanation invariably revolved around the lack of necessary ingredients for development, whether they are cultural, psychological-sociological, economic, or institutional. Therefore, the problems and obstacles to change and development in societies along such a modernization-developmentalist paradigm tend to be, on the main, rooted internally. However, with an optimistic attitude, these developmentalists

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insisted that such handicaps were temporary and that, in the long run, all countries/nation-states will achieve progress and development.

From such a perspective, research was conducted on analyzing the stages particular societies have attained along the continuum from traditional to modern and measurements of the sociopsychological profiles of the social and institutional organizations were carried out. On the whole, however, the modernization-developmentalist perspective had difficulty explaining the gaps in growth between countries, the lack of autocentric self-sustaining development, the particularized economic specialization of some countries, and the persistent impoverishment of most parts of the globe. Enter Andre Gunder Frank. According to him, such an inability was mainly the consequence of viewing the problems and obstacles to development as concentrated exclusively on conditions internal to the particular country instead of understanding the process as a result of mechanisms tying the country to the economically and technologically advanced centers of the world.

Andre Gunder Frank's timely interventions in the debate on world development belonged to a corpus of radical writings commonly referred to as the "dependency or uneven development" perspective. Early features of this dependency perspective can be seen in the work of Paul Baran (1957), and in the reports of the United Nations Economic Commission for Latin America (ECLA) that centered on the work of Raul Prebisch (1959). Out of this critical interruption, there emerged extensive studies on underdevelopment from Andre Gunder Frank (1967, 1969, 1979), Theotonio Dos Santos (1970), Fernando Cardoso (1972, 1973, 1977), Celso Furtado (1971), Osvaldo Sunkel (1973), and others.

Importantly, not all the dependency studies were wholly influenced by Marx's writings. Some of them were developed mainly as a rebuttal to the modernization-developmentalist approach. The works of Raul Prebisch (1959, 1976) and Celso Furtado (1971) came under this umbrella. In fact, Gunder Frank (1974) distinguished his approach from that of Prebisch's and Furtado's by suggesting that they belonged to the old school of dependency theory that was nationalist in orientation. In spite of these differences among the proponents of dependency theory this counter-perspective did have some common characteristics, although in some cases the issues or solutions differed. What was most characteristic of these analyses on change and development was the fact that their perspectives were developed from the view of the Third World. These studies challenged the developmentalist's concept of development with its elements of stagism, diffusionism, and dualism by suggesting that these concepts were a consequence of a nonholistic and ahistorical perspective. Chapters one and two clearly outline this critique of the modernization-developmentalist paradigm. Frank and the *dependentistas* asserted that the onus for the lack of

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development (underdevelopment) cannot be blamed on the Third World, but that responsibility must be placed historically on the Western and colonial powers. Therefore, the domination of Third World societies has existed since very early times.

In this regard, Frank (1966) had stated that Third World societies might be originally *undeveloped*, but never *underdeveloped*, and that the root cause can be attributed to the structure of external relations in which these societies were enmeshed. As a result, such a structural relationship generated the domination of their economies by the metropoles (core) and the subordination of their socioeconomic and political growth to the interest of the metropoles (core). According to Frank (1972), this relationship had led to the development of a typical form of class (or national elites), political, and economic structure for a Third World country that he had termed as *lumpen bourgeoisie* and *lumpen development*; though the forms might change for each specific epoch or cultural context. By posing the development of this distorted configuration of social, political, and economic structures, the *dependentistas* challenged the dualist thesis in the modernization-developmentalist paradigm, which suggested that in most later developing societies there was the presence of a dual society whereby the modern industrial enclave existed parallel to a traditional backward society. The explanation for this duality was due either to the lack of progress, communication, or traditional feudal practices. However, what the *dependentistas* argued was that the backwardness and dual society phenomenon was basically caused by the development of the modern enclaves. That is, the development of these urban centers had been parasitical on the underdevelopment of the hinterland, and not because that these hinterland areas were traditionally backward. This thesis, they suggested, can also be applied to the developed nation vis-à-vis the developing one, in the sense that the development of the metropolitan nation (core) was made at the expense of the underdevelopment of the peripheral nation-state.[1] The process of engendering this unequal development, according to Gunder Frank (1979), occurred in the form of unequal trade relationships as well as sociopolitical policies. A classic historical example for this issue can be seen in the underdevelopment of India (Frank 1979).

For the *dependentistas*, their proposals for the causes of underdevelopment were expanded further within a set of strategies for liberation from underdevelopment. Even though they recognized the fact that each country had to work out its own solutions to liberation consistent with its own particular circumstances, there was common agreement that successful development must proceed on two fronts: (1) external change in the structure of the Third World nation's relationships with the imperial metropolitan powers; (2) internal changes within the country contingent

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on a transformation of the ruling class. A fair proportion of the Latin American *dependentistas* (depending on their philosophical leanings) stressed for a displacement of the ruling class or comprador elites. By and large, they advocated a socialist revolution. This was a very clear case for Gunder Frank (1969) who envisaged this route as the only way out for the underdeveloped countries then.

Chapters one and two provide to the reader the key pieces that Andre Gunder Frank wrote in the 1960s that formed the basis of his theoretical critique of modernization-developmentalist paradigm. Even in these earlier studies on development, we can already see the following three main threads that permeated his holistic thinking on world development: the need to consider history, the need to consider the whole, and the need to consider the structure. These three threads would be woven into his lifetime's work in trying to explain what development really means and what it should be. Toward the end of his life he eventually defined the developmental process not as "the development of underdevelopment" as he had originally coined it, but rather as "the underdevelopment of development"![2]

Notes

1. Even though the dependency perspective generated widespread support, it was not without its critics. Critical evaluations have come unexpectedly from the Left and the Right. Two of the most substantive criticisms of the Left are from Ernesto Laclau (1971) and Colin Leys (1977). Mostly, the critics of the Left have challenged and criticized the dependency approach for its eclectic nature and its lack of adherence to Marx's principles. Simply put, the criticisms suggest that dependency theory does not adhere to Marx's theory, and thus is deemed inappropriate for a "correct" analysis of the state of society or for solutions for change to occur. Frank (1974) responded to these criticisms in his article "Dependence Is Dead, Long Live Dependence and Class Struggle."
2. See Frank (1996). In this chapter for his *festschrift*, Gunder Frank summarized his intellectual historical journey.

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CHAPTER ONE

The Development of Underdevelopment

We cannot hope to formulate adequate development theory and policy for the majority of the world's population who suffer from underdevelopment without first learning how their past economic and social history gave rise to their present underdevelopment. Yet most historians study only the developed metropolitan countries and pay scant attention to the colonial and underdeveloped lands. For this reason most of our theoretical categories and guides to development policy have been distilled exclusively from the historical experience of the European and North American advanced capitalist nations.

Since the historical experience of the colonial and underdeveloped countries has demonstrably been quite different, available theory, therefore, fails to reflect the past of the underdeveloped part of the world entirely and reflects the past of the world as a whole only in part. More important, our ignorance of the underdeveloped countries' history leads us to assume that their past and indeed their present resembles earlier stages of the history of the now developed countries. This ignorance and this assumption lead us into serious misconceptions about contemporary underdevelopment and development. Further, most studies of development and underdevelopment fail to take account of the economic and other relations between the metropolis and its economic colonies throughout the history of the worldwide expansion and development of the mercantilist and capitalist system. Consequently, most of our theory fails to explain the structure and development of the capitalist system as a whole and to account for its simultaneous generation of underdevelopment in some of its parts and of economic development in others.

It is generally held that economic development occurs in a succession of capitalist stages and that today's underdeveloped countries are still in a stage, sometimes depicted as an original stage, of history through which the now

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developed countries passed long ago. Yet even a modest acquaintance with history shows that underdevelopment is not original or traditional and that neither the past nor the present of the underdeveloped countries resembles in any important respect the past of the now developed countries. The now developed countries were never underdeveloped, though they may have been undeveloped. It is also widely believed that the contemporary underdevelopment of a country can be understood as the product or reflection solely of its own economic, political, social, and cultural characteristics or structure. Yet historical research demonstrates that contemporary underdevelopment is in large part the historical product of past and continuing economic and other relations between the satellite underdeveloped and the now developed metropolitan countries. Furthermore, these relations are an essential part of the structure and development of the capitalist system on a world scale as a whole. A related and also largely erroneous view is that the development of these underdeveloped countries, and within them of their most underdeveloped domestic areas, must and will be generated, or stimulated by diffusing capital, institutions, values, etc., to them from the international and national capitalist metropoles. Historical perspective based on the underdeveloped countries' past experience suggests that on the contrary, economic development in the underdeveloped countries can now occur only independently of most of these relations of diffusion.

Evident inequalities of income and differences in culture have led many observers to see "dual" societies and economies in the underdeveloped countries. Each of the two parts is supposed to have a history of its own, a structure, and a contemporary dynamic largely independent of the other. Supposedly only one part of the economy and society has been importantly affected by intimate economic relations with the "outside"capitalist world; and that part, it is held, became modern, capitalist, and relatively developed precisely because of this contact. The other part is widely regarded as variously isolated, subsistence based, feudal, or precapitalist, and, therefore, more underdeveloped.

I believe on the contrary that the entire "dual"society thesis is false and that the policy recommendations to which it leads will, if acted upon, serve only to intensify and perpetuate the very conditions of underdevelopment they are supposedly designed to remedy.

A mounting body of evidence suggests, and I am confident that future historical research will confirm, that the expansion of the capitalist system over the past centuries effectively and entirely penetrated even the apparently most isolated sectors of the underdeveloped world. Therefore, the economic, political, social, and cultural institutions and relations we now observe there are the products of the historical development of the capitalist system no less than are the seemingly more modern or capitalist features of the national metropoles of these underdeveloped countries.

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Analogous to the relations between development and underdevelopment on the international level, the contemporary underdeveloped institutions of the so-called backward or feudal domestic areas of an underdeveloped country are no less the product of the single historical process of capitalist development than are the so-called capitalist institutions of the supposedly more progressive areas. I should like to sketch the kinds of evidence that support this thesis and at the same time indicate lines along which further study and research could fruitfully proceed.

The secretary general of the Latin American Center for Research in the Social Sciences writes in the Center's journal:

> The privileged position of the city has its origin in the colonial period. It was founded by the Conqueror to serve the same ends that it still serves today; to incorporate the indigenous population into the economy brought and developed by that Conqueror and his descendants. The regional city was an instrument of conquest and is still today an instrument of domination.[1]

The Instituto Nacional Indigenista (National Indian Institute) of Mexico confirms this observation when it notes that "the mestizo population, in fact, always lives in a city, a center of an intercultural region, which acts as the metropolis of a zone of indigenous population and which maintains with the underdeveloped communities an intimate relation which links the center with the satellite communities."[2] The Institute goes on to point out that "between the mestizos who live in the nuclear city of the region and the Indians who live in the peasant hinterland there is in reality a closer economic and social interdependence than might at first glance appear" and that the provincial metropoles "by being centers of intercourse are also centers of exploitation."[3]

Thus these metropolis-satellite relations are not limited to the imperial or international level but penetrate and structure the very economic, political, and social life of the Latin American colonies and countries. Just as the colonial and national capital and its export sector become the satellite of the Iberian (and later of other) metropoles of the world economic system, this satellite immediately becomes a colonial and then a national metropolis with respect to the productive sectors and population of the interior. Furthermore, the provincial capitals, which thus are themselves satellites of the national metropolis—and through the latter of the world metropolis—are in turn provincial centers around which their own local satellites orbit. Thus, a whole chain of constellations of metropoles and satellites relates all parts of the whole system from its metropolitan center in Europe or the United States to the farthest outpost in the Latin American countryside.

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When we examine this metropolis-satellite structure we find that each of the satellites, including the now underdeveloped Spain and Portugal, serves as an instrument to suck capital or economic surplus out of its own satellites and to channel part of this surplus to the world metropolis of which all are satellites. Moreover, each national and local metropolis serves to impose and maintain the monopolistic structure and exploitative relationship of this system (as the Instituto Nacional Indigenista of Mexico calls it) as long as it serves the interests of the metropoles, which take advantage of this global, national, and local structure to promote their own development and the enrichment of their ruling classes.

These are the principal and still surviving structural characteristics that were implanted in Latin America by the Conquest. Beyond examining the establishment of this colonial structure in its historical context, the proposed approach calls for study of the development—and underdevelopment—of these metropoles and satellites of Latin America throughout the following and still continuing historical process. In this way we can understand why there were and still are tendencies in the Latin American and world capitalist structure that seem to lead to the development of the metropolis and the underdevelopment of the satellite and why, particularly, the satellized national, regional, and local metropoles in Latin America find that their economic development is at best a limited or underdeveloped development.

I believe I have shown in my case studies of the economic and social histories of Chile and Brazil that present underdevelopment of Latin America is the result of its centuries-long participation in the process of world capitalist development.[4] My study of Chilean history suggests that the Conquest not only incorporated this country fully into the expansion and development of the world mercantile and later industrial capitalist system but that it also introduced the monopolistic metropolis-satellite structure and development of capitalism into the Chilean domestic economy and society itself. This structure then penetrated and permeated all of Chile very quickly. Since that time and in the course of world and Chilean history during the epochs of colonialism, free trade, imperialism, and the present, Chile has become increasingly marked by the economic, social, and political structure of satellite underdevelopment. This development of underdevelopment continues today, both in Chile's still increasing satellization by the world metropolis and through the ever more acute polarization of Chile's domestic economy.

The history of Brazil is perhaps the clearest case of both national and regional development of underdevelopment. The expansion of the world economy since the beginning of the sixteenth century successively converted the Northeast, the Minas Gerais interior, the North, and the Center-South (Rio de Janeiro, Sao Paulo, and Paraná) into export economies and incorporated them into the structure and development of the

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world capitalist system. Each of these regions experienced what may have appeared as economic development during the period of its golden age. But it was a satellite development that was neither self-generating nor self-perpetuating. As the market or the productivity of the first three regions declined, foreign and domestic economic interest in them waned and they were left to develop the underdevelopment they live today. In the fourth region, the coffee economy experienced a similar though not yet quite as serious fate (though the development of a synthetic coffee substitute promises to deal it a mortal blow in the not-too-distant future). All of this historical evidence contradicts the generally accepted theses that Latin America suffers from a dual society or from the survival of feudal institutions and that these are important obstacles to its economic development.

During the First World War, however, and even more during the Great Depression and the Second World War, São Paulo began to build up an industrial establishment that is the largest in Latin America today. The question arises whether this industrial development did or can break Brazil out of the cycle of satellite development and underdevelopment that has characterized its other regions and national history within the capitalist system so far. I believe that the answer is no. Domestically the evidence so far is fairly clear. The development of industry in São Paulo has not brought greater riches to the other regions of Brazil. Instead, it has converted them into internal colonial satellites, decapitalized them further, and consolidated or even deepened their underdevelopment. There is little evidence to suggest that this process is likely to be reversed in the foreseeable future except insofar as the provincial poor migrate and become the poor of the metropolitan cities. Externally, the evidence is that although the initial development of São Paulo's industry was relatively autonomous it is being increasingly satellized by the world capitalist metropolis and its future development possibilities are increasingly restricted.[5] This development, my studies lead me to believe, also appears destined to limited or underdeveloped development as long as it takes place in the present economic, political, and social framework.

We must conclude, in short, that underdevelopment is not due to the survival of archaic institutions and the existence of capital shortage in regions that have remained isolated from the stream of world history. On the contrary, underdevelopment was and still is generated by the very same historical process that also generated economic development: the development of capitalism itself. This view, I am glad to say, is gaining adherents among students of Latin America and is proving its worth in shedding new light on the problems of the area and in affording a better perspective for the formulation of theory and policy.[6]

The same historical and structural approach can also lead to better development theory and policy by generating a series of hypotheses about

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development and underdevelopment such as those I am testing in my current research. The hypotheses are derived from the empirical observation and theoretical assumption that within this world-embracing metropolis-satellite structure the metropoles tend to develop and the satellites tend to underdevelop. The first hypothesis has already been mentioned earlier: that in contrast to the development of the world metropolis, which is no one's satellite, the development of the national and other subordinate metropoles is limited by their satellite status. It is perhaps more difficult to test this hypothesis than the following ones because part of its confirmation depends on the test of the other hypotheses. Nonetheless, this hypothesis appears to be generally confirmed by the nonautonomous and unsatisfactory economic and especially industrial development of Latin America's national metropoles, as documented in the studies already cited. The most important and at the same time most confirmatory examples are the metropolitan regions of Buenos Aires and São Paulo whose growth only began in the nineteenth century, and was, therefore, largely untrammeled by any colonial heritage, but was and remains a satellite development largely dependent on the outside metropolis—first of Britain and then of the United States.

A second hypothesis is that the satellites experience their greatest economic development and especially their most classically capitalist industrial development if and when their ties to their metropolis are weakest. This hypothesis is almost diametrically opposed to the generally accepted thesis that development in the underdeveloped countries follows from the greatest degree of contact with and diffusion from the metropolitan developed countries. This hypothesis seems to be confirmed by two kinds of relative isolation that Latin America has experienced in the course of its history. One is the temporary isolation caused by the crises of war or depression in the world metropolis. Apart from minor ones, five periods of such major crises stand out and are seen to confirm the hypothesis. These are as follows: the European (and especially Spanish) depression of the seventeenth century, the Napoleonic Wars, the First World War, the Depression of the 1930s, and the Second World War. It is clearly established and generally recognized that the most important recent industrial development—especially of Argentina, Brazil, and Mexico, but also of other countries such as Chile—has taken place precisely during the periods of the two world wars and the intervening Depression. Thanks to the consequent loosening of trade and investment ties during these periods, the satellites initiated marked autonomous industrialization and growth. Historical research demonstrates that the same thing happened in Latin America during Europe's seventeenth-century depression. Manufacturing grew in the Latin American countries, and several countries, such as Chile, became exporters of manufactured goods. The Napoleonic Wars gave rise

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to independence movements in Latin America, and these should perhaps also be interpreted as in part confirming the development hypothesis.

The other kind of isolation that tends to confirm the second hypothesis is the geographic and economic isolation of regions that at one time were relatively weakly tied to and poorly integrated into the mercantilist and capitalist system. My preliminary research suggests that in Latin America these regions were the ones that initiated and experienced the most promising self-generating economic development of the classical industrial capitalist type. The most important regional cases probably are Tucumán and Asunción, as well as other cities, such as Mendoza and Rosario, in the interior of Argentina and Paraguay during the end of the eighteenth and the beginning of the nineteenth centuries. Seventeenth- and eighteenth-century São Paulo, long before coffee was grown there, is another example. Perhaps Antioquia in Colombia and Puebla and Querétaro in Mexico are other examples. In its own way, Chile was also an example since before the sea route around the Horn was opened this country was relatively isolated at the end of a long voyage from Europe via Panama. All of these regions became manufacturing centers and even exporters, usually of textiles, during the periods preceding their effective incorporation as satellites into the colonial, national, and world capitalist system.

Internationally, of course, the classic case of industrialization through nonparticipation as a satellite in the capitalist world system is obviously that of Japan after the Meiji Restoration. Why, one may ask, was resource-poor but unsatellized Japan able to industrialize so quickly at the end of the century while resource-rich Latin American countries and Russia were not able to do so and the latter was easily beaten by Japan in the War of 1904 after the same forty years of development efforts? The second hypothesis suggests that the fundamental reason is that Japan was not satellized either during the Tokugawa or the Meiji period and, therefore, did not have its development structurally limited as did the countries that were so satellized.

A corollary of the second hypothesis is that when the metropolis recovers from its crisis and reestablishes the trade and investment ties that fully reincorporate the satellites into the system, or when the metropolis expands to incorporate previously isolated regions into the worldwide system, the previous development and industrialization of these regions is choked off or channeled into directions that are not self-perpetuating and promising. This happened after each of the five crises cited earlier. The renewed expansion of trade and the spread of economic liberalism in the eighteenth and nineteenth centuries choked off and reversed the manufacturing development that Latin America had experienced during the seventeenth century, and in some places at the beginning of the nineteenth century. After the First World War, the new national industry of Brazil suffered

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serious consequences from American economic invasion. The increase in the growth rate of Gross National Product and particularly of industrialization throughout Latin America was again reversed and industry became increasingly satellized after the Second World War and especially after the post–Korean War recovery and expansion of the metropolis. Far from having become more developed since then, industrial sectors of Brazil and most conspicuously of Argentina have become structurally more and more underdeveloped and less and less able to generate continued industrialization and/or sustained development of the economy. This process, from which India also suffers, is reflected in a whole gamut of balance-of-payments, inflationary, and other economic and political difficulties, and promises to yield to no solution short of far-reaching structural change.

Our hypothesis suggests that fundamentally the same process occurred even more dramatically with the incorporation into the system of previously unsatellized regions. The expansion of Buenos Aires as a satellite of Great Britain and the introduction of free trade in the interest of the ruling groups of both metropoles destroyed the manufacturing and much of the remainder of the economic base of the previously relatively prosperous interior almost entirely. Manufacturing was destroyed by foreign competition, lands were taken and concentrated into latifundia by the rapaciously growing export economy, intraregional distribution of income became much more unequal, and the previously developing regions became simple satellites of Buenos Aires and through it of London. The provincial centers did not yield to satellization without a struggle. This metropolis-satellite conflict was much of the cause of the long political and armed struggle between the Unitarists in Buenos Aires and the Federalists in the provinces, and it may be said to have been the sole important cause of the War of the Triple Alliance in which Buenos Aires, Montevideo, and Rio de Janeiro, encouraged and helped by London, destroyed not only the autonomously developing economy of Paraguay but killed off nearly all of its population unwilling to give in. Though this is no doubt the most spectacular example that tends to confirm the hypothesis, I believe that historical research on the satellization of previously relatively independent yeoman-farming and incipient manufacturing regions such as the Caribbean islands will confirm it further.[7] These regions did not have a chance against the forces of expanding and developing capitalism, and their own development had to be sacrificed for that of others. The economy and industry of Argentina, Brazil, and other countries that have experienced the effects of metropolitan recovery since the Second World War are today suffering much the same fate, if fortunately still in lesser degree.

A third major hypothesis derived from the metropolis-satellite structure is that the regions that are the most underdeveloped and feudal-seeming today are the ones that had the closest ties to the metropolis in the past.

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They are the regions that were the greatest exporters of primary products to and the biggest sources of capital for the world metropolis and were abandoned by the metropolis when for one reason or another business fell off. This hypothesis also contradicts the generally held thesis that the source of a region's underdevelopment is its isolation and its precapitalist institutions.

This hypothesis seems to be amply confirmed by the former super-satellite development and present ultra-underdevelopment of the once sugar-exporting West Indies, Northeastern Brazil, the ex-mining districts of Minas Gerais in Brazil, highland Peru, and Bolivia, and the central Mexican states of Guanajuato, Zacatecas, and others whose names were made world famous centuries ago by their silver. There surely are no major regions in Latin America that are today more cursed by underdevelopment and poverty; yet all of these regions, like Bengal in India, once provided the lifeblood of mercantile and industrial capitalist development—in the metropolis. These regions" participation in the development of the world capitalist system gave them, already in their golden age, the typical structure of underdevelopment of a capitalist export economy. When the market for their sugar or the wealth of their mines disappeared and the metropolis abandoned them to their own devices, the already existing economic, political, and social structure of these regions prohibited autonomous generation of economic development and left them no alternative but to turn in upon themselves and to degenerate into the ultra-underdevelopment we find there today.

These considerations suggest two further and related hypotheses. One is that the latifundium, irrespective of whether it appears today as a plantation or a hacienda, was typically born as a commercial enterprise which created for itself the institutions that permitted it to respond to increased demand in the world or national market by expanding the amount of its land, capital, and labor and to increase the supply of its products. The fifth hypothesis is that the latifundia, which appear isolated, subsistence based, and semifeudal today, saw the demand for their products or their productive capacity decline and that they are to be found principally in the aforementioned former agricultural and mining export regions whose economic activity declined in general. These two hypotheses run counter to the notions of most people, and even to the opinions of some historians and other students of the subject, according to whom the historical roots and socioeconomic causes of Latin American latifundia and agrarian institutions are to be found in the transfer of feudal institutions from Europe and/or in economic depression.

The evidence to test these hypotheses is not open to easy general inspection and requires detailed analyses of many cases. Nonetheless, some important confirming evidence is available. The growth of the latifundium

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in nineteenth-century Argentina and Cuba is a clear case in support of the fourth hypothesis and can in no way be attributed to the transfer of feudal institutions during colonial times. The same is evidently the case of the postrevolutionary and contemporary resurgence of latifundia, particularly in the north of Mexico, which produce for the American market, and of similar ones on the coast of Peru and the new coffee regions of Brazil. The conversion of previously yeoman-farming Caribbean islands, such as Barbados, into sugar-exporting economies at various times between the seventeenth and twentieth centuries and the resulting rise of the latifundia in these islands would seem to confirm the fourth hypothesis as well. In Chile, the rise of the latifundium and the creation of the institutions of servitude that later came to be called feudal occurred in the eighteenth century and have been conclusively shown to be the result of and the response to the opening of a market for Chilean wheat in Lima.[8] Even the growth and consolidation of the latifundium in seventeenth-century Mexico—which most expert students have attributed to a depression of the economy caused by the decline of mining and a shortage of Indian labor and to a consequent turning in upon itself and ruralization of the economy—occurred at a time when urban population and demand were growing, food shortages were acute, food prices were skyrocketing, and the profitability of other economic activities such as mining and foreign trade were declining.[9] All of these and other factors rendered hacienda agriculture more profitable. Thus, even this case would seem to confirm the hypothesis that the growth of the latifundium and its feudal-seeming conditions of servitude in Latin America has always been and is still the commercial response to increased demand and that it does not represent the transfer or survival of alien institutions that have remained beyond the reach of capitalist development. The emergence of latifundia, which today really are more or less (though not entirely) isolated, might then be attributed to the causes advanced in the fifth hypothesis the decline of previously profitable agricultural enterprises whose capital was, and whose currently produced economic surplus still is, transferred elsewhere by owners and merchants who frequently are the same persons or families. Testing this hypothesis requires still more detailed analysis, some of which I have undertaken in a study on Brazilian agriculture.[10]

All of these hypotheses and studies suggest that the global extension and unity of the capitalist system, its monopoly structure and uneven development throughout its history, and the resulting persistence of commercial rather than industrial capitalism in the underdeveloped world (including its most industrially advanced countries) deserve much more attention in the study of economic development and cultural change than they have hitherto received. Though science and truth know no national boundaries, it is probably the new generations of scientists from the underdeveloped countries

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themselves who most need to, and best can, devote the necessary attention to these problems and clarify the process of underdevelopment and development. It is their people who in the last analysis face the task of changing this no-longer acceptable process and eliminating this miserable reality.

They will not be able to accomplish these goals by importing sterile stereotypes from the metropolis, which do not correspond to their satellite economic reality and do not respond to their liberating political needs. To change their reality they must understand it. For this reason, I hope that better confirmation of these hypotheses and further pursuit of the proposed historical, holistic, and structural approach may help the peoples of the underdeveloped countries to understand the causes and eliminate the reality of their development of underdevelopment and their underdevelopment of development.

Notes

This essay originally appeared in the September 1966 issue of *Monthly Review.*

1. *América Latina*, Año 6, No. 4 (October–December 1963), p. 8.
2. Instituto Nacional Indigenista, Los centros coordinadores indigenistas (Mexico, 1962), p. 34.
3. Ibid., pp. 3, 3–34, 88.
4. Andre Gunder Frank, "Capitalist Development of Underdevelopment in Chile" and "Capitalist Development of Underdevelopment in Brazil" in *Capitalism and Underdevelopment in Latin America* (New York and London: Monthly Review Press, 1967 and 1969).
5. Also see, Andre Gunder Frank, "The Growth and Decline of Import Substitution," *Economic Bulletin for Latin America*, Vol. IX, No. 1 (March 1964); and Celso Furtado, *Dialectica do Desenvolvimiento* (Rio de Janeiro: Fundo de Cultura, 1964).
6. Others who use a similar approach, though their ideologies do not permit them to derive the logically following conclusions, are Aníbal Pinto, *Chile: Un caso de desarrollo frustrado* (Santiago: Editorial Universitaria, 1957); Celso Furtado, *A formaçao económica do Brasil* (Rio de Janeiro: Fundo de Cultura, 1959), which was recently translated into English and published as *The Economic Growth of Brazil* by the University of California Press; and Caio Prado Junior, *Historia Económica do Brasil*, 7th ed. (Sao Paulo: Editora Brasiliense, 1962).
7. See, e.g., Ramiro Guerra y Sánchez, *Azúcar y Población en las Antillas*, 2nd ed. (Havana, 1942), also published as *Sugar and Society in the Caribbean* (New Haven, CT: Yale University Press, 1964).
8. Mario Góngora, *Origen de los "inquilinos" de Chile central* (Santiago: Editorial Universitaria, 1960); Jean Borde and Mario Góngora, *Evolución de la propiedad rural en el Valle del Puango* (Santiago: Instituto de Sociología de la Universidad de Chile, 1959); Sergio Sepúlveda, *El trigo chileno en el mercado mundial* (Santiago: Editorial Universitaria, 1959).
9. Woodrow Borah makes depression the centerpiece of his explanation in "New Spain's Century of Depression," *Ibero-Americana*, No. 35 (Berkeley, 1951). François Chevalier speaks of turning in upon itself in the most authoritative study of the subject, "La formación de Ios grandes latifundios en México," *Problemas Agrícolas e Industriales de México*, Vol. VIII, No. 1 (1956) (translated from the original French and recently published by the University of California Press). The data that provide the basis for my contrary interpretation are supplied by these authors themselves.
10. Andre Gunder Frank, "Capitalism and the Myth of Feudalism in Brazilian Agriculture," in *Capitalism and Underdevelopment in Latin America* (New York and London: Monthly Review Press, 1967 and 1969).

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CHAPTER TWO

Sociology of Development and the Underdevelopment of Sociology

Introduction

This essay examines the sociology of development currently being produced in the developed countries, especially the United States, for export to and use in the underdeveloped countries. On critical examination, this new sociology of development is found to be empirically invalid when confronted with reality, theoretically inadequate in terms of its own classical social scientific standards, and policy-wise ineffective for pursuing its supposed intentions of promoting the development of the underdeveloped countries. Furthermore, the inadequacy grows along with the development of the society that produces it. Like the underdeveloped society to which it is applied, this sociology is becoming increasingly underdeveloped.

To permit a careful and detailed evaluation of this sociology of development, I shall examine the theoretical modes or trends represented by particular writings of selected social scientists. Nonetheless, my critique extends to the whole of this sociology of development. To avoid arbitrary selection, it is convenient to permit representatives of this sociology of development themselves to select the major modes and most of the authors to be examined here. Accordingly, they are given the first word.

Manning Nash, until recently editor of EDCC, has said,[1] "There are, in my view, only three modes of attacking the problem of social change and economic development."

The first mode is the index method: the general features of a developed economy are abstracted as an ideal type and then contrasted with the equally ideal typical features of a poor economy and society. In this mode,

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development is viewed as the transformation of one type into the other. Developed examples of this mode are to be found in Hoselitz's *Sociological Factors in Economic Development*,[2] or Parsons' *Structure and Process in Modern Societies*,[3] or in some of the work of the sociologist Marion J. Levy, Jr.[4]

The second mode is the acculturation view of the process of development. The West (taken here as the Atlantic community of developed nations and their overseas outliers) diffuses knowledge, skills, organization, values, technology, and capital to a poor nation, until over time its society, culture, and personnel become variants of that which made the Atlantic community economically successful. Examples of this line of reasoning can be found in Moore and Feldman, *Labor Commitment and Social Change in Developing Areas*[5] (which also includes essays by Nash and Hoselitz), and in Lerner's *Passing of Traditional Society*,[6] or in the many accounts of how the Soviet Union and Japan "did it."

The third mode is the analysis of the process as it is now going on in the so-called underdeveloped nations. This approach leads to a smaller-scale hypothesis, to a prospective rather than a retrospective view of social change, to a full accounting of the political, social, and cultural context of development.

Nash's discussion of these currents in contemporary American work on economic development and cultural change is found in his introduction to a collection of essays by, among others, Everett Hagen (who first introduced his thesis in the pages of *EDCC*),[7] David McClelland (who reviewed Hagen's book in the pages of *EDCC)*,[8] and John H. Kunkel (who recently discussed the third approach in *EDCC).*[9] Nash describes these authors' essays as representative of the third approach and commends them for their "dialectic of social knowledge, of confrontation of bold assertion against fact in even bolder more elegant assertion."[10] Robert Chin, coeditor of the collection, says that these writers "are performing a pioneering service."[11]

Nash's classification, summary, and evaluation of the "only three modes of attacking the problem of social change and economic development" can serve as a useful point of departure for our own examination and evaluation of these approaches. Nash is quite mistaken in claiming that these modes exhaust the possibilities of attacking the problems of social change and economic development; he is substantially correct, however, in observing that they virtually exhaust the approaches of American social scientists to these problems of vital contemporary concern.[12]

I propose, therefore, to examine and evaluate the empirical validity, theoretical adequacy, and policy effectiveness of these three approaches to the problems of development. In terms of their relative importance we should begin with the criterion of policy effectiveness, and then consider theoretical adequacy and empirical validity, in that order. For if the recommended policy is ineffective, it renders suspect the theory from which

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it is derived; if the theory used is inadequate, it matters relatively little whether the claims made about particular aspects of reality are in fact empirically accurate. Contrary to the logic of the case, however, expository convenience leads me to begin with an examination of the empirical validity of each approach, for this permits us to familiarize ourselves with the approach under review. We will then proceed to the questions of theoretical adequacy and policy effectiveness in turn.

The Ideal Typical Index Approach

The index method is an attempt to attack the problem of economic development and cultural change through the comparative statics of polar ideal types. Referring to the approach of economists generally, and to those of the World Bank in particular, Charles Kindleberger long ago labeled this mode the gap approach: you subtract the ideal typical features or indices of underdevelopment from those of development, and the remainder is your development program.[13] We may distinguish two major variants of this ideal typical gap approach: the pattern variable approach exemplified by Hoselitz, and the historical stage approach now mostly associated with Rostow. The second variant differs from the first in that it draws on the historical experience of the developed countries to interpose stages into the gap between development and underdevelopment. A further variant of the latter, the historical variations approach of Gerschenkron, which is not examined here, draws on this same historical experience to introduce the possibility of variation into the development stages of the underdeveloped countries. Common to all three variants is the assumption that underdevelopment is an original state which may be characterized by indices of traditionalism, and that, therefore, development consists of abandoning these characteristics and adopting those of the developed countries.

Pattern Variables

This mode is derived not only from Max Weber's conception of the ideal type in general but also from some of Weber's particular ideal types, which were later elaborated and further systematized by Talcott Parsons. Hoselitz takes the pattern variables of Parsons' *Social System*[14] and applies them to the study of economic development and cultural change.

The pattern variables, according to the *Dictionary of Sociology*, are

> types of choices open to purposive human beings; they are dichotomies. . . . each representing polar extremes. *Universalism* and

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> *particularism* are the names of one. In other words, any individual in a situation requiring choice in his relationships with others must ask himself if he is going to act in terms of a universally accepted precept or one particular to the situation in which he finds himself. Is he going to act according to rule or in terms of particular qualities of the person towards whom he is orienting his action. Another set is termed *achievement* and *ascription* (sometimes referred to as *performance* and *quality)* and here a person in deciding how to act focuses his attention on either the achieved aspects of the other person, e.g., his professional qualifications, or else his ascribed qualities, e.g., sex, age, social class.... Yet another set is known as *specificity* and *diffuseness*, and here the choice takes into account limited and specific factors, e.g., the contrast between a contract entered into, and wider diffuse obligations such as family loyalty.
>
> The point of this scheme of pattern variables is to enable the sociologist to identify the typical choices made, especially of an institutionalized kind.... Pattern variable analysis may be *used* to identify similarities and differences between cultures, or it may be restricted in use to refer to aspects of society, to sub-systems of an institutionalized kind, such as political systems... [15]

According to Parsons any social system and any social action can be exhaustively analyzed in terms of only five pairs of pattern variables, which supposedly characterize all possible social action. These five pairs of pattern variables are the three above-defined ones used by Hoselitz, plus *affectivity* and *affective-neutrality* and *self-orientation* and *collectivity-orientation*.

Hoselitz first advanced his theory in 1953 under the title "Social Structure and Economic Growth";[16] he repeated the same thesis again (more penetratingly, he says in a footnote) in 1963 under the title "Social Stratification and Economic Development."[17] He argues that developed countries exhibit the pattern variables of universalism, achievement orientation, and functional specificity, while underdeveloped ones are characterized by their opposites—particularism, ascription, and functional diffuseness. To develop, Hoselitz counsels, underdeveloped countries should eliminate the pattern variables of underdevelopment and adopt those of development. It may be added that *EDCC* has devoted many pages to the diffusion of this approach to the study of economic development and cultural change.[18]

Empirical Validity

Hoselitz characterizes the developed countries as universalist and not particularist. They are, as we shall see, normatively universalist. Yet the

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reality, the literature, and even the sociological treatment of many developed countries reveal substantial particularism. This is specifically the case for Japan,[19] France,[20] and Europe in general,[21] where the existence of particularism has been demonstrated among both upper and lower classes. Particularism is deep and widespread especially in the working class in both Europe[22] and the United States, in recent migrants from the former to the latter, and among nonwhite, rural, or recent rural-urban migrant groups in the United States. Moreover, much of what flies a universalist flag in the United States and other developed countries is little more than the cover for unsavory particularist private interests. We will have occasion later to observe that the developed countries export particularism to the underdeveloped ones, wrapped in such universalist slogans as freedom, democracy, justice, the common good, the economic liberalism of free trade, the political liberalism of free elections, the social liberalism of free social mobility, and the cultural liberalism of free flow of ideas such as the ones we are examining here.[23]

Hoselitz also characterizes developed countries as achievement oriented. To examine the counterpart of this pattern variable in reality, it is important to divide it into three subvariables: reward, recruitment, and motivation. In the United States, reward within roles is indeed substantially dependent on achievement. But recruitment into roles, although perhaps substantially a matter of achievement among the middle classes, is very much based on ascription in both the high levels of business management, as Granick has shown in his comparison of American and Soviet management,[24] and among the masses of poor in the "other America," as Michael Harrington has so dramatically demonstrated. The ascription of roles, and the consequent reward, to the American Negro speaks silently and eloquently for itself through his contemporary Freedom Movement. Harrington shows, moreover, that far from becoming less ascriptive, American society, both at the top and at the bottom (and perhaps also in the middle), is becoming progressively more ascriptive.[25]

On the other hand, role recruitment in Japan is very much based on achievement, as Abegglen among others has pointed out.[26] However, the assignment of reward within the role, Abegglen argues, is highly ascriptive, being based on such factors as age, family obligations, and so on. The important distinction between recruitment and reward (rarely made in discussions of achievement or ascription) and the obvious differences between Japanese and American practices in this respect would seem to explain a large part of the disagreement on this matter. For example, Bellah[27] and Levy,[28] who emphasize Japan's achievement orientation as a cause of its development, refer to role recruitment. On the other hand, Abegglen,[29] who emphasizes Japan's ascriptive pattern, is apparently thinking of reward within roles. The other achievement variable, individual

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achievement motivation or need for) achievement as David McClelland calls it,[30] while increasingly confused with the Weberian category of social role assignment and reward, is quite another matter and will be discussed when we come to examine the third mode.

Thirdly, Hoselitz claims that in developed societies roles are functionally specific rather than diffuse and that role specificity helps generate development while role diffuseness does the contrary. To assess this claim, we must first question the relevance of the specificity-diffuseness dichotomy to the structure of interaction that is being examined. Is it useful to distinguish the structure of interaction between ego and alter that is normatively defined in one diffuse role as a complex father-son, teacher-student, general-soldier, and so on relationship, from the structure of interaction in functionally specific roles that are integrated in such a way that ego is systematically father, teacher, general, and so on, and alter is son, student, soldier, and so on? In a word, how important is the difference between role specificity and role diffuseness if the socially significant and dominant specific roles are collected together in one or a few individuals who wear many hats simultaneously or in quick and institutionalized succession? For the latter is the "functionally specific" role structure of the society in which, according to C. Wright Mills, the power elite dominates what President Eisenhower dubbed the military-industrial complex, and in which Douglas Dillon of Dillon Reed & Co. comes to sit in the cabinet as secretary of the treasury; Robert McNamara, president of the Ford Motor Company, becomes secretary of defense—as successor to "Engine Charley" Wilson, who gave us the *bon mot*, "What's good for General Motors is good for the country"; and in which the bulk of military purchases are from a half dozen giant corporations who employ large numbers of retired high-level military officers.[31]

Our own profession is not as isolated from this role structure as Hoselitz's characterization of role specificity might suggest: Roosevelt's and Kennedy's brain trusts co-opted all sorts of American social scientists. Harvard historian Arthur Schlesinger, Jr.'s aid to the development of underdeveloped countries has so far consisted in writing the now famous White Paper on Cuba, which was intended to justify the coming invasion of that country at the Bay of Pigs. He later admitted lying about the invasion in the "national interest." Stanford economist Eugene Staley wrote *The Future of Underdeveloped Countries*[32] and then planned it in the renowned Staley—[General Maxwell] Taylor Plan to put 1$ million Vietnamese in the concentration camps they euphemistically christened "strategic hamlets." Since the failure of that effort at development planning, MIT economic historian Walt Whitman Rostow has escalated the effort by writing *The Stages of Economic Growth: A Non-Communist Manifesto*.[33] He wrote of these stages at the CIA-financed Center for International Studies on the Charles

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River and has been operationalizing them on the Potomac as President Kennedy's director of policy and planning in the State Department and President Johnson's chief adviser on Vietnam. It is on behalf of Vietnamese economic growth that Rostow has become the principal architect of escalation, from napalming the South to bombing the North, and beyond. Then, doubtless due to universalist particularism and achieved ascription, Eugene Rostow moves from professing international law at Yale University to practicing it at his brother's side in Washington. Meanwhile, after performing his role as dean of humanities at Harvard University, McGeorge Bundy becomes W. W. Rostow's superior in Washington and goes on television to explain to the misguided and incredulous why this economic development theory and policy is humanitarian (after which he goes on to direct the Ford Foundation and its influence on education and research). In the light of the manifest and institutionalized role-summation and diffuseness of these deans of humane scholarship and professors of applied social science, the clandestine direction of Project Camelot by the Department of Defense and the financing of the United States National Student Association by the CIA pale into the shadows.

However, Hoselitz's and my concern is with the economic development and cultural change of the *underdeveloped* countries. It is, therefore, more important to examine the reality of underdevelopment and Hoselitz's ideal typical mischaracterization of it. Hoselitz characterizes the underdeveloped countries as particularist rather than universalist. Yet normatively, underdeveloped countries are also substantially universalist. A glance at the press, radio, and much of the educational ideology of any underdeveloped country exhibits just as much universalism as do their counterparts in the developed ones. Mexico's most influential newspaper publishes more column inches about the "universalist" United States than the *New York Times* does about the whole world outside of the United States; and one American magazine, the *Reader's Digest*, which excels in getting across the American "universalist" norms and ideology, has a higher circulation in Mexico than the eight largest Mexican magazines combined.[34] What makes Hoselitz right in a sense is that this kind of universalism goes no deeper in the underdeveloped countries than it does in the developed ones; for there too it is, instead, a cover for underlying particularism. On the other hand, there are forms of universalism in the underdeveloped countries apart from the superficial façade of the particularly interested organs of public opinion formation. There are general and political strikes, decried by so many of these same observers from the developed countries; militant nationalism, which the same observers frown upon as opposed to the universal good and, therefore, to the particular one of this or that underdeveloped country; and widespread support in underdeveloped countries for the anticolonial and anti-neocolonial movements, which the

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developed countries are combating by force of arms and universalistic-sounding propaganda about freedom, and so on, in Vietnam, Malaysia, the Congo, the Dominican Republic, and elsewhere. This evidence suggests that universalism is after all quite widespread and deeply ingrained in the underdeveloped countries among groups that are not the privileged ones in command of the universalist organs of communication.

Hoselitz departs even further from reality when he says that social, economic, and political roles in the underdeveloped countries are distributed almost exclusively in terms of ascriptive norms. He specifically claims that the underdeveloped countries pay little attention to economic achievement in their determination of status and that political leadership is mainly determined by ascriptive norms.[35] Someone who has never lived in the universalist castle of American social science would be shocked to find that Hoselitz and many others characterize as ascriptive the national political leadership produced by the interminable military coups in Latin America,[36] and by the emerging "national" bourgeoisies all over Africa.[37] Yet the unreality of American popular and ostensibly scientific understanding of the world permits Hoselitz and others to suggest that Latin American political power is in the hands of some traditional landed or even feudal oligarchy. They fail to see that in all capitalist underdeveloped countries the power behind the throne, be it military or civil, rests (if it is in national hands at all) with the people who occupy the top roles in the economic organization, and particularly with those who have commercial and financial ties to the developed metropolis.[38] This metropolis is increasingly the United States—precisely the vantage point from which these social scientists make their curious observations and characterizations of the underdeveloped part of the world. In supposedly ascriptive Asia, Africa, and Latin America, many present incumbents of these top economic and political roles have achieved their positions, and done so quite recently—often more so than in the achievement-oriented developed countries of Europe and North America.[39] Thus, role assignment in the economically and politically most significant roles in underdeveloped countries is decidedly achieved and not ascribed.

It should be pointed out, however, that role assignment by achievement is also common among the lower-level roles in the underdeveloped countries. This has been the case at least since mercantilist and capitalist penetration totally transformed these societies, often centuries ago. Only the social scientists from the invading metropolis seem unable to see how efficiently this penetration integrated these societies into the dominant world system and how universally the latter imposed its social organization and alienation on the people whom Frantz Fanon has called the damned of the earth.[40] Evidently, the distribution of rewards in underdeveloped countries, at least in high-level roles, is also determined by achievement—as Hoselitz

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uses that term. In the monopolistic underdeveloped economies, even more than in the developed ones, financial success is determined by successful speculation and extortion, and the resulting distribution of income is even more unequal. This suggests that, contrary to what Hoselitz says, ascription counts less, and achievement more, in the distribution of reward in the underdeveloped countries.[41] (This assumes that we may call this sort of success "achievement" by our universalist standards, which the present author would not wish to do.)

Finally, Hoselitz says that roles in underdeveloped countries are functionally diffuse rather than specific. This is true in part. The poor in the underdeveloped countries, whether classified as working in the primary, secondary, or tertiary sector, do indeed practice many professions at a time, such as farmer, trader, peddler, artisan, odd jobber, thief, and provider of social security to others, in the attempt to keep body and soul together.[42] The roles at the other end of the socioeconomic scale are no less diffuse. One need only read the daily press or suffer the consequences of monopoly control in underdeveloped countries to know that the controlling roles are indeed diffuse, as Hoselitz suggests, and also that economic roles predominate in that control, as Hoselitz denies. On the other hand, it is also well to observe that a whole series of intermediate roles in underdeveloped societies, occupied by such members of the middle classes as military officers, government bureaucrats, junior executives, administrators, policemen, and others, are functionally quite specific. Their incumbents serve specific functions of making the whole exploitative system function in the diffused but particular interest of those who have achieved control, in the same sense that the plantation administrator runs the owner's slave plantation for him. It is perhaps not surprising that it is among precisely these middle-role incumbents that universalist values are predominant.[43]

In a word, if we examine the patterns of social roles in the developed and underdeveloped countries, instead of being blinded by a hand-me-down ideal typical perspective of adulterated Weberian parentage, we conclude that the characteristics Hoselitz and others attribute to developed and underdeveloped countries present a distorted and inadequate conception of social reality. This is, however, the least of the deficiencies of Hoselitz's and allied approaches to economic development and cultural change. That it is so easy to challenge the empirical validity of Hoselitz's conception of development and underdevelopment—that Hoselitz can find some particularism, ascription, and diffuseness in underdeveloped countries, whereas we can easily find universalism, achievement, and specificity there—already suggests that probably neither the one nor the other of the patterns of variables Hoselitz selects for emphasis is important for characterizing, or crucial for determining,

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either development or underdevelopment. It raises the suspicion that the important determining factors of development and underdevelopment are not these but others: that is, the theoretical adequacy of Hoselitz's whole approach is cast in doubt.

Theoretical Adequacy

Having disposed of the empirical validity of Hoselitz's claims, we may examine the theoretical adequacy of his thesis in terms of, first, his selection of roles for study; second, his selection of a social system for analysis; and third, and most important, his treatment of the social structure of development and underdevelopment.

It may be best to begin by asking how Hoselitz and I can characterize the pattern of variables or roles in underdeveloped countries so differently. Part of the answer is found in the difference between the roles we deem important for underdevelopment and development. It appears that in Hoselitz's analysis all roles have about the same weight in characterizing and determining underdevelopment. Thus Hoselitz's prescription for development is that the maximum number of roles, almost irrespective of which they are, change from being particularist, ascriptive, and diffuse, and become universalist, achievement based, and functionally specific. The greater this quantitative change of roles from one pattern to the other, it would seem, the greater the development. My review, on the other hand, has lent more emphasis to roles at the top and some at the bottom of the economic and political stratification systems, because they are more important for development than just roles in general.

If social roles do not all carry the same weight or importance for development and underdevelopment, as they evidently do not, then it is not legitimate to assign them the same weights in theory. If, like Hoselitz, we construct ideal-type role patterns for development and underdevelopment (a dubious procedure to begin with) then in constructing the ideal-type we must surely assign more weight to the roles that in fact are more important for development or underdevelopment, even if they be less numerous. Yet in his characterization of both developed and underdeveloped societies, Hoselitz systematically evades the specific examination of the top economic and political roles. If Hoselitz lent these roles the weight they clearly have in the determination of development or underdevelopment, he would be unable to characterize as universalist, achievement based, and functionally specific a society in which the power elite of the industrial-government-military complex pursues particularist ends; or would be unable to characterize as particularist, ascriptive, and functionally diffuse those countries that are governed by oligarchies with economic, political, and military power that is derived from commercial monopoly privileges

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and the recurrent recourse to force of arms to protect and augment them. Still less would he be able to rest his theoretical case for development and underdevelopment on this empirical base.

Secondly, we may ask what social universe Hoselitz has in mind when he says that development is characterized by some pattern variables and underdevelopment by others. Hoselitz and many others associate particularism, ascription, and diffuseness in underdevelopment with the extended family, the primitive tribe, the folk community, the traditional sector of a dual society, and with the underdeveloped countries and part of the world in general. But the connection is never made with the developed part of the world nor with the contemporary dominant social organization in the world taken as a whole. Indeed, he seems to be indifferent about where change should take place, since in discussing underdevelopment he moves quite easily and almost imperceptibly from referring to one of these units to talking about another (although never, of course, to the last two). Hoselitz leaves far from clear just which is the social whole whose role patterns he would change from one set of variables to another in order to effect development. Here the theoretical inadequacy is even more glaring, for it contravenes the generally accepted rule of social and all scientific theory to look for and refer to the systemic whole in terms of which the reality (in this case underdevelopment) can be explained and changed. The social system that is today the determinant of underdevelopment certainly is not the family, tribe, community, a part of a dual society, or even, as I shall argue later, any underdeveloped country or countries taken by themselves.

The folk characteristics that were studied by Robert Redfield, and that Hoselitz seems to associate with the pattern variables of underdeveloped society, do not characterize any whole society existing today. At best, they may characterize "tribal societies," few if any of which still remain independent. Redfield himself only spoke in terms of a nontribal folk society when he first studied Yucatan and Tepotzlan, and even then he entitled his book *The Folk Culture of Yucatan*.[44] When he later began to concentrate his attention on *Peasant Society and Culture*,[45] he took great pains to point out that peasants with folk characteristics live only in *parts* of societies inasmuch as they are peasants only by virtue of their relation to the city, whose function complements theirs within the same wider social whole that incorporates them both. Furthermore, in his study of the Guatemalan peasant community, Cantel,[46] Manning Nash himself pointed out that the appearance of the universalist, achievement-oriented, and functionally specific characteristics associated with labor unionism—and their renewed disappearance after the 1954 military coup of which John Foster Dulles was so proud—must be traced beyond the boundaries of the community to the national system. In view of the well-known source of that military coup we might add that it should be traced further to the functioning and

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structure of the international system, never mentioned by Hoselitz, but of which Cantel, Guatemala, and all their inhabitants form integral if unhappily determined parts. Therefore, it is not a matter of empirical, theoretical, or policy indifference just which social system is selected for study and change with a view to promoting economic development. Hoselitz's selection is empirically unacceptable because he does not choose to study the system whose characteristics are the determinant ones for development and underdevelopment. Hoselitz's procedure is theoretically unsatisfactory because he does not address himself to the determinant social whole as Redfield counseled that social scientists must do.[47]

Thirdly, Hoselitz's treatment of economic development and cultural change is unsatisfactory on still more important theoretical grounds: his analysis belies its own title, "Social Structure and Economic Growth," by neglecting structure and especially the structure of underdevelopment. The previously discussed empirical and theoretical shortcomings in analyses such as Hoselitz's are of course part and parcel of this neglect. However, the failure of those using this approach to take adequate account of structure is of such far-reaching importance that it requires more specific commentary of its own.

Hoselitz follows the lead of Talcott Parsons who, to commemorate the centenary of the *Communist Manifesto*, explained the theoretical significance and political consequences of his own and "modern sociological theory":

> Marx, however, tended to treat the socioeconomic structure of capitalist enterprise as a single indivisible entity rather than breaking it down analytically into a set of the distinct variables involved in it. It is this analytical breakdown which is for present purposes the most distinctive feature of modern sociological analysis. . . . It results in a modification of the Marxian view. . . . The primary structural emphasis no longer falls on . . . the theory of exploitation but rather on the structure of occupational roles . . .[48]

The felicity of Parsons' analysis of this approach has already been empirically confirmed for us by Hoselitz's aforementioned practice of confining his attention to the arithmetic sum of social roles in general, and of forgetting about the social, political, and economic structure of a particular society under study.

Herein, Parsons, Hoselitz, and recent sociological theorists in general not only modify Marx but also depart from Weber. Parsons' structuralism and holism is confined to the analysis of a wholly abstract model of any and all real or imaginary societies and not with the study of any existing real society. However much Marx and Weber may have relied on theoretical

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models and ideal types, neither ever ventured to depart so far from reality. Other recent sociological theorists, mostly social anthropologists of the British structural-functionalist school, who have devoted themselves to the study of existing whole societies, fall short of the standards of classical sociology in other ways. They select small "societies" in Africa and elsewhere for study and analyze them as though they had an isolated existence independent from the imperialist system of which they formed an integral part at the time of study. Hoselitz abandons classical sociology and carries recent sociology still further. He leaves behind the structural holism of Parsons because it is not suited to any but abstract wholes. Yet he does not join the anthropologists on their field trips to study the social structure of social "wholes." Hoselitz is satisfied to abandon both holism and structuralism and to devote his attention to pattern variables. The aforementioned theorists deviate further from classical theory, which is a most serious handicap for those who would study economic development and cultural change. "Modern sociological theory" at best appeals to holism and structuralism to explain the existence of the parts, or merely to demonstrate the relations among them, but not to analyze or account for the existence of the social structure as a whole. Consequently, these theorists, who pretend to analyze economic *development* and cultural *change*, fail to direct their theoretical analysis to the past origins, the present transformations, or the future prospects of the existing social system as a system.

Yet Hoselitz and, as we shall see, the advocates of the second and third modes of analysis, all take another step beyond Parsons—and far beyond what would have occurred to Weber in his moments of wildest fancy. They argue that to eliminate underdevelopment and produce development it is only necessary to change particular variables, roles, or parts of the social system—that it is not necessary to change the structure of the system itself. Logically, Hoselitz and others can take this position only if they maintain one or the other of the following: (1) that underdevelopment and development are associated only with the characteristics of the simple majority of the society's roles, and not with the structure of that society; or (2) granted that development and underdevelopment are associated with the structure of the social system, the system's structure can be changed simply by changing some of its parts or their characteristics. The first violates all standards of social scientific theory; the second is contrary to all empirical reality.

The importance of the empirical and theoretical deficiency of the approach of Hoselitz and others cannot be stressed too much. The empirical evidence, which has been discussed, reveals that this criticism of Hoselitz's and related analyses on theoretical grounds is not based on an isolated appeal to arbitrary theoretical standards. That is, the weight of the scientific standards that such analyses fail to meet lies not so much in their

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universal acceptance as it does in their realism and efficacy: if Hoselitz and others had guided their observations and analyses of economic development and cultural change by these standards of structuralism and holism, they could not have come to the empirically erroneous conclusion that ascriptive role assignment in general is keeping underdeveloped countries underdeveloped. They would have seen not only that the crucial political and economic roles in underdeveloped countries are assigned and rewarded by achievement—which is the least of it, since it is not, after all, ascription or achievement that is really important—but also that these roles and their incumbents are no more than some of the manifestations of the real structure of development and underdevelopment of a world-embracing system that gives rise to these roles and whose incumbents in turn serve to maintain the system and underdevelopment in particular.

Policy Effectiveness

Three examples may suffice to indicate that Hoselitz's policy prescriptions do not lead to the consequences he predicts. First, the existence, or the increase (if we would believe C. Wright Mills[49] or William H. Whyte[50]) of role ascription and diffuseness in business, government, and military circles in the United States has not so far turned that country into an underdeveloped one. A second piece of evidence is that the supposed achievement of functionally specific roles and pursuit of universal standards among, for instance, the business magnates and their military executors in Latin America has not so far developed their countries and still gives no signs of doing so.

Although perhaps not the most important one, a third piece of evidence against Hoselitz's thesis is particularly interesting because it is supplied by Hoselitz himself. As we saw earlier, Hoselitz's pattern variables of development are associated particularly with the rise of the middle classes; and such students of Latin America as John Johnson[51] in the United States and Gino Germani[52] in Argentina, among many others, have argued that the greater the social mobility and the bigger the middle class the more the development. Yet Hoselitz recently took the initiative to test this thesis by confronting it with the hard facts of reality in Latin America. There he found and wrote that the countries with the largest middle classes, Argentina and Chile, are not at all the ones with the most development.[53]

Three things, however, are true of middle classes in Latin America. First, their social pattern closely corresponds to the one to which Hoselitz wishes to attribute economic development and cultural change. Secondly, as in Nazi Germany and Fascist Italy, it is precisely these groups that provide the principal "popular" support for the ultrareactionary military dictatorships, as these groups again demonstrated in an impressively

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manifest fashion in the 1964 military coup in Brazil.[54] A third fact, which is not unrelated to the foregoing one or to the unviability of the development prescriptions of Hoselitz, Johnson, Germani, and others, is that throughout the underdeveloped countries (as well as in the United States as Gabriel Kolko has recently shown[55]), when the income of these middle classes rises it does so not at the expense of the rich but at the expense of the large masses of the poor—whose relative and often absolute income in the underdeveloped countries is thereby forced still lower.[56] Economic development and cultural change of an underdeveloped country through the promotion and rise of the middle classes (or their pattern variables) has not occurred because, among other reasons, it is physically impossible for it to occur given the structure of the system: it only leads to the further underdevelopment of the majority.

Stages of Growth

Within the first ideal-typical mode, which Nash calls the index mode and which I call the gap approach, we may distinguish a second variant. Here the identification of the gap between the characteristics of development and underdevelopment includes the specification of intermediate stages and their characteristics. Although Nash mentioned Rostow in connection with his earlier work on development propensities,[57] it is preferable to take Rostow's *Stages of Economic Growth* as the example of this variant of the first mode. My review and evaluation of Rostow's and similar "stage" approaches requires less space because first, much of the criticism already made of Hoselitz applies to them as well and, second, Rostow's stages have already come in for much specific criticism from others.[58] Nonetheless, I submit that Rostow's *Stages of Economic Growth* deserves more fundamental criticism on empirical, theoretical, and policy grounds than it has thus far received.

According to Rostow:

> It is possible to identify all societies, in their economic dimensions, as lying within five categories: the traditional society, the preconditions for takeoff, the takeoff, the drive to maturity, and the age of high mass consumption. First, the traditional society. A traditional society is one whose structure is developed within limited production functions, based on pre-Newtonian science and technology, and on pre-Newtonian attitudes towards the physical world. . . . The second stage of growth embraces societies in the process of transition; that is, *the* period when the preconditions for takeoff are developed; for it takes time to transform a traditional society in the ways necessary for it to exploit the fruits of modern science, to fend off diminishing

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> returns, and thus to enjoy the blessings and choices opened up by the march of compound interest. . . . [T]he stage of preconditions arise[s] not endogenously but from some external intrusion by more advanced societies. . . . We come now to the great watershed in the life of modern societies: the third stage in this sequence, the takeoff. The takeoff is the interval when the old blocks and resistances to steady growth are finally overcome. The forces making for economic progress, which yielded limited bursts and enclaves of modern activity, expand and come to dominate the society. Growth becomes its normal condition. Compound interest becomes built, as it were, into its habits and institutional structure. . . . [The] takeoff is defined as requiring all three of the following related conditions: (1) a rise in the rate of productive investment from, say, 5 percent or less to over 10 percent of national income (or net national product (NNP)); (2) the development of one or more substantial manufacturing sectors, with a high rate of growth; (3) the existence or quick emergence of a political, social and institutional framework which exploits the impulses to expansion . . .[59]

Rostow's stages and thesis are incorrect primarily because they do not correspond at all to the past or present reality of the underdeveloped countries whose development they are supposed to guide. It is explicit in Rostow, as it is implicit in Hoselitz, that underdevelopment is the original stage of what are supposedly traditional societies—that there were no stages prior to the present stage of underdevelopment. It is further explicit in Rostow that the now developed societies were once underdeveloped. But all this is quite contrary to fact. This entire approach to economic development and cultural change attributes a history to the developed countries but denies all history to the underdeveloped ones. The countries that are today underdeveloped evidently have had a history no less than have the developed ones. None of them, for example India,[60] is today the way it was centuries or even decades ago. Moreover, reference to even any schoolboy world history confirms that the history of the now underdeveloped countries has been most intimately related to the history of the now developed ones for at least several centuries.

Indeed, the economic and political expansion of Europe since the fifteenth century has come to incorporate the now underdeveloped countries into a single stream of world history, which has given rise simultaneously to the present development of some countries and the present underdevelopment of others. However, in their attempt to construct theory and policy for the underdeveloped countries, Rostow and others have examined the developed countries as if they had developed in isolation from this stream of world history. It stands to reason that any serious attempt to construct

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theory and policy for the development of the now underdeveloped countries has to be based on the examination of the experience of the underdeveloped countries themselves—that is, on the study of their history and of the world historical process that has made these countries underdeveloped. Yet this task of constructing a realistic theory and policy of development has not been pursued by any of the students of economic development and cultural change who employ the modes of approach to the problem that, according to Nash, exhaust all possibilities. We see again, then, that these three approaches to studying and solving the problems of economic development and cultural change only exhaust what is done; but they do not exhaust what can be done, and least of all what must be done.

It is impossible, without closing one's eyes, to find in the world today any country or society that has the characteristics of Rostow's first, the traditional, stage. This is not surprising since the construction of Rostow's stages takes account neither of the history of the now underdeveloped countries nor of their crucial relations with the now developed ones over severalcenturies past. Rostow's approach obliterates the fact that through these relations, the now developed countries have totally destroyed the preexisting fabric of these societies (be it "traditional" or not). This was most notably the case in India which was deindustrialized;[61] Africa, where the slave trade transformed society long before colonialism did so again;[62] and Latin America, where the high civilizations of the Incas and the Aztecs were wiped out altogether.[63] The relationship between the mercantilist and capitalist metropolis and these colonies succeeded in supplanting the preexisting—or, in the case of the *tabula rasa* situations of Argentina, Brazil, the West Indies, and elsewhere, in implanting the—social, political, and economic structure they now have: that is, the structure of underdevelopment.[64]

This long relationship between the now underdeveloped and now developed countries within the same historical process did not affect only the export enclave in the underdeveloped countries, as the almost universally accepted and just as empirically and theoretically erroneous dual society or economy thesis has it.[65] On the contrary, this historical relationship transformed the entire social fabric of the peoples whose countries are now underdeveloped, just as in the developed countries.[66] (I shall return to this problem of the dual society or economy in the section on diffusionism later.)

If Rostow's first, traditional, stage cannot be found in any underdeveloped country today, his second stage, which contains the preconditions for takeoff into economic development, is even more conspicuous by its absence. Characteristic of Rostow's second stage is the penetration of underdeveloped countries by influences created abroad—mostly in the developed countries—and diffused to the underdeveloped ones, where

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they destroy traditionalism and simultaneously create the preconditions that will lead to the subsequent takeoff in the third stage. (This, too, is examined in the section on diffusionism.) The factual error of the second stage in Rostow's thesis is so glaring that it may be discussed briefly. As we observed with respect to the first stage, the now underdeveloped Asian, African, and Latin American parts of the world, even if they were traditional in the Rostowian sense before their contact with Europe—a dubious thesis, considering the high civilizations and technological development that had been achieved on all three continents—certainly have been and still are affected by conditions in, and penetrated by influences emanating from, the now developed metropolis. Yet these same metropolitan conditions and influences, which already have a history ranging from one to several centuries, have not brought about economic development, or even led to a takeoff into development, in a single one of the "75 countries," as they came to be called at the 1964 Geneva Conference on World Trade and Development.

This Conference was called because the nearly two-thirds of the world's population living in these countries feel and know that these metropolitan-imposed second-stage conditions, far from furthering their economic development as Rostow and other metropolitan pundits claim, not only hinder their economic development but even increase their underdevelopment.[67] The reason for all this is that the reality of underdevelopment, which Rostow's first and second stages obscure and even deny, is that the incorporation of these lands and peoples into the expanding mercantilist and then capitalist world system first initiated their underdevelopment; furthermore, their continued participation in this same system still maintains and even aggravates that underdevelopment.[68] As Prime Minister Jawaharlal Nehru said, in his *The Discovery of India*, "nearly all our major problems today have developed grown up during British rule and as a direct result of British policy : the princes; the minority problem; various vested interests, foreign and Indian; the lack of industry and the neglect of agriculture; the extreme backwardness in the social services; and, above all, the tragic poverty of the people."[69]

Rather than countering the authority of Rostow and most of his colleagues from the developed countries only with an appeal to the authority of Nehru and his colleagues from the underdeveloped countries we may also appeal to empirical evidence, which is devastating for the Rostowian thesis. The evidence is from the *tabula rasa* countries that had no population at all before they were incorporated into the developing mercantilist and capitalist system. Today, more than half of both the area and the population of Latin America—especially Argentina, Uruguay, Brazil, and all of the West Indies—occupies regions that, at the time of their incorporation into the European-centered mercantile system, were either entirely

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unpopulated or were repopulated after the rapid extermination of the pre-contact population. None of these countries ever experienced Rostow's first stage: the mercantile metropolis did not conquer and settle these regions to institute Rostow's traditionalism but to exploit them through the establishment of exclusively commercial mines, sugar plantations, and cattle ranches. If anything, these regions and peoples entered world history by stepping right into Rostow's second stage. But after more than four centuries, Rostowian second-stage conditions and contact have not led to the third-stage takeoff in these regions, much less to the fourth or fifth stage of development. Today these previously unpopulated regions are just as underdeveloped as are the previously populated ones that were similarly incorporated into the world-embracing capitalist system. Indeed, contrary to Rostow's conception of the second stage —and, as we will see later, contrary to most of the diffusionist thesis—the more intimate the past contact of these regions with the metropolis, the more underdeveloped they are today. Among the many examples are the ex-sugar-exporting regions of the Caribbean and the Brazilian Northeast and the ex-mining export regions of Minas Gerais in the center of Brazil, of Bolivia, and Peru in the Andean Highlands, and of the famous Zacatecas and Guanajuato mining regions in the center of Mexico.[70]

Abundant historical evidence from the underdeveloped countries shows that Rostow's first two stages are fictional. Contemporary evidence from them shows that his last two stages are utopian. After all, if these countries now were to find themselves in the fourth stage of drive toward maturity or in the fifth one of high mass consumption, we would not call them underdeveloped—and Rostow would not have to invent his stages. What is more, while in Rostow's rendition of reality his utopian last two stages are the mere mechanical summation of the fictitious first two stages plus the third, in the unfortunate reality of the underdeveloped countries it is precisely the structure of their underdevelopment—which Rostow whitewashes with his traditionalism and externally created preconditions—and their structural relations with the developed countries, which Rostow fails to mention at all, that have for so long prevented the realization of the last two stages. By Rostow's count, we are then left only with the third stage and by my count with the second crucial flaw in Rostow's entire argument.

Rostow would have us believe that in his third stage, the takeoff, he has theoretically synthesized the dynamic qualitative change between the structure of underdevelopment and that of development. However, his theory is not dynamic and he does not isolate structural characteristics or change. Least of all does he incorporate the real structure of underdevelopment and development into his theory. On the contrary, he fails to consider it altogether. Like most, but not all, stage theories of history,

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Rostow's is an exercise in comparative statics. While he identifies stages of development, he does not say anything about how to get from one to the other. This is no less the case for the third stage than it is for the four others. The unreality of Rostow's dynamic should not surprise us: for as we have seen, even his statics are entirely unreal; his stages correspond to no reality in the underdeveloped countries at all. How, then, could his development from one stage to another correspond to the underdeveloped world's reality?

That Rostow does not argue from structure is already suggested by the fact that he places the major burden for development in the third stage, on the mere rate of investment and growth. The conclusive evidence of the theoretical inadequacy of Rostow's stages for understanding and eliminating the structure of underdevelopment goes far beyond that, of course. In completely ignoring the history of the underdeveloped countries, Rostow necessarily completely ignores the structure of their underdevelopment. The changes in institutions and investment he posits as the takeoff out of underdevelopment do not begin to affect the real structure of underdevelopment. The proof is that countries such as Argentina,[71] which Rostow claims to be taking off into development, are becoming ever more structurally underdeveloped and that, indeed, no underdeveloped country has ever managed to take off out of its underdevelopment by following Rostow's stages.

Rostow's empirical and theoretical errors extend beyond his analysis of the underdevelopment of the underdeveloped countries to his characterization of the development of the developed ones. While the developed countries are not our topic here, it is necessary at least to point out this faulty characterization of development because, like Hoselitz and others, Rostow bases so much of his policy for the underdeveloped countries on his picture of the developed ones. Rostow is particularly explicit in claiming that England was the first country to industrialize and that it did so by domestically mobilizing its own resources after having experienced certain internal structural changes. Others among the now developed countries, he says, also developed on their own except insofar as the prior development of England and others helped to create the preconditions for their takeoff. Again, Rostow is wrong both on empirical and theoretical grounds. That England and other countries did not develop by relying only on their own efforts has been exhaustively proven. The English Mercantilists, such as Thomas Mun,[72] had no doubt about it. Neither did Cantillon[73] or Marx.[74] Among our contemporaries, Earl Hamilton,[75] Eric Williams,[76] now prime minister of Trinidad and Tobago, and Basil Davidson,[77] have again demonstrated the crucial role played by the underdeveloped countries in financing the capitalization of the now developed ones. If the now underdeveloped countries were really to follow the stages

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of growth of the now developed ones they would have to find still other peoples to exploit into underdevelopment, as the now developed countries did before them.

This misrepresentation of reality by Rostow must, of course, lead to (or does it follow from?) a theoretical error of the first magnitude and of vital importance for development theory and policy. This error is common not only to both variants of the first mode but also to all three modes of approach to economic development and cultural change reviewed here.[78] They each view the characteristics of development and underdevelopment as *sui generis* to the country concerned. When they proceed to the study of any structure at all, as we have already seen in the case of Hoselitz, they confine themselves to examining only parts of the domestic structure of the country concerned. In none of these modes is there an examination of the actual structure of development and underdevelopment—of the structure of the historical system that gave rise to and includes them both. As to the efficacy of the policy recommended by Rostow, it speaks for itself: no country, once underdeveloped, ever managed to develop by Rostow's stages. Is that why Rostow is now trying to help the people of Vietnam, the Congo, the Dominican Republic, and other underdeveloped countries to overcome the empirical, theoretical, and policy shortcomings of his manifestly noncommunist intellectual aid to economic development and cultural change by bombs, napalm, chemical and biological weapons, and military occupation?[79]

The first or ideal-typical mode of approaching problems of economic development and cultural change turns out upon examination to be empirically invalid, theoretically inadequate, and ineffective policy-wise. The fundamental reason why the whole approach must be rejected by those who would meaningfully understand and solve the problems of economic development and cultural change is that the approach, in all its variations, ignores the historical and structural reality of the underdeveloped countries. This reality is the product of the very same historical process and systemic structure as is the development of the now developed countries: the world-embracing system within which the now underdeveloped countries have lived their history for centuries. It is the structure of this system that constitutes the historical cause and still contemporary determinant of underdevelopment. This structure is ubiquitous; it extends from the most developed part of the most developed country to the most underdeveloped part of the most underdeveloped country. Even if the first approach were to study the structure of underdevelopment on the domestic level of the underdeveloped countries, which as we have seen it does not, it would be unable adequately to analyze and understand that domestic structure—let alone to permit policy formulation that is adequate to change it. Those engaging in the first mode of analysis, and as we will see the second and

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third ones as well, resolutely avoid the study of the international structure of development and underdevelopment of which the domestic structure of underdevelopment is only a part. On all grounds then, empirical, theoretical, and policy, the first approach to economic development and cultural change must be rejected as inadequate.

The Diffusionist Approach

The second mode identified by Nash views development as occurring through the diffusion of cultural elements from the developed to the underdeveloped countries. This involves, of course, acculturation to these elements on the part of the underdeveloped countries. The diffusion is seen to spread from the metropolis of the advanced capitalist countries out to the national capitals of the underdeveloped ones, and from these in turn out to their provincial capitals and finally to the peripheral hinterland.

According to this view since development consists of and is promoted by diffusion and acculturation, underdevelopment remains because of obstacles or resistance to this diffusion. Underdevelopment is taken to be the original "traditional" state as much as it is in the first mode. There is even less inquiry into the causes and nature of underdevelopment than in the first mode. In effect, the diffusionists do not suggest to the peoples of the underdeveloped world that they inquire into and remove the causes of underdevelopment; instead they advise them to await and welcome the diffusion of developmental aid from the outside.

Empirical Validity

Nash emphasizes the diffusion of "knowledge, skills, organization, values, technology, and capital" as the primary factors in the second mode's view of economic development and cultural change. For expository convenience, we shall reclassify these as (1) capital; (2) technology, including knowledge and skills; and (3) institutions, including values and organization.

Capital

With respect to the diffusion of capital the thesis of the second mode begins with the proposition that, being poor, the underdeveloped countries lack investment capital and, therefore, find it difficult or impossible to develop and thereby escape from their poverty. Therefore, the richer developed countries can, should, and do diffuse capital to the underdeveloped ones, thereby promoting their economic development. The acceptability of the initial proposition—that it is poverty which hampers the underdeveloped countries' efforts at investment and development—has

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been strongly challenged on theoretical grounds by Paul Baran;[80] and this writer has supplied further theoretical and empirical evidence that discounts this proposition.[81] I shall say no more about this proposition here since it is the assumption—or justification—that serves only as the starting point for the diffusionist thesis. Instead, I shall go on to examine the thesis itself, namely that the developed countries diffuse capital to the underdeveloped ones and thereby diffuse aid in their development. This thesis is upheld in the pages of *EDCC* by, among others, Martin Bronfenbrenner,[82] and by Daniel Garnick,[83] who challenges Bronfenbrenner's argument. Whatever the disagreement between them, however, they both agree that the developed countries actually contribute capital to the underdeveloped ones. The variety of views on foreign aid and investment presented under Gerald Meier's editorship in *Leading Issues in Development Economics*, by Raymond Mikesell in *U.S. Private and Government Investment Abroad*,[84] or by Benjamin Higgins, in his chapter on "Foreign Investment and Foreign Aid" in his *Economic Development*,[85] exhibit a variety of sharp disagreements. But all these writers, as well as others in *EDCC*,[86] seem to be in full agreement with the proposition that the flow of capital is from the developed countries to the underdeveloped ones. Again, the only disagreement seems to stem from the facts.

The conservative estimates of the U.S. Department of Commerce show that between 1950 and 1965 the total flow of capital on investment account from the United States to the rest of the world was $23.9 billion, while the corresponding capital inflow from profits was $37.0 billion, for a net inflow into the United States of $13.1 billion. Of this total, $14.9 billion flowed from the United States to Europe and Canada while $11.4 billion flowed in the opposite direction, for a net outflow from the United States of $3.5 billion. Yet, between the United States and all other countries, that is mainly the poor, undeveloped ones, the situation is reversed: $9.0 billion of investment flowed to these countries while $25.6 billion profit capital flowed out of them, for a *net inflow from the poor to the rich* of $16.6 billion.[87]

Other available statistics show exactly the same pattern of net capital flow from the underdeveloped countries to the developed ones.[88] The only trouble with these data is that they very much understate the actual flow of capital from the poor underdeveloped countries to the rich developed ones. First of all, they understate the capital flow from poor to rich on investment account.[89] Secondly, they obscure the fact that the largest part of the capital which the developed countries own in the underdeveloped ones was never sent from the former to the latter at all but was, on the contrary, acquired by the developed countries in the now underdeveloped ones.

Thus, according to the U.S. Department of Commerce, of the total capital obtained and employed from all sources by U.S. operations in Brazil in 1957, 26 percent came from the United States and the remainder

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was raised in Brazil, including 36 percent from Brazilian sources outside the American firms.[90] That same year, of the capital in American direct investment in Canada, 26 percent came from the United States while the remainder was also raised in Canada.[91] By 1964, however, the part of American investment in Canada that entered from the United States had declined to 5 percent, making the average American contribution to the total capital used by American firms in Canada during the period 1957–64 only 15 percent. All the remainder of the "foreign investment" was raised in Canada through retained earnings (42 percent), depreciation charges (31 percent), and funds raised by American firms on the Canadian capital market (12 percent). According to a survey of American direct investment firms operating in Canada in the period 1950–59, 79 percent of the firms raised over 25 percent of the capital for their Canadian operations in Canada, 65 percent of the firms raised over 50 percent in Canada, *and 47 percent of the American firms with investments in Canada raised all of the capital for their Canadian operations in Canada and none in the United States.* There is reason to believe that this American reliance on foreign capital to finance American "foreign investment" is still greater in the poor underdeveloped countries, which are weaker and more defenseless than Canada. This, then, is the source of the flow of capital on investment account from the poor underdeveloped countries to the rich developed ones.

Thirdly, these data take account neither of the well-known decline in the underdeveloped countries' relative participation in world trade, nor of the deterioration of the terms of trade that is currently costing the underdeveloped countries far more capital than their net or gross receipts of investment and loans from developed ones.[92] (Net receipts, as was noted earlier, are negative to begin with.) Fourthly, these data on the flow of investment capital leave out of account the still larger flow of capital from the underdeveloped countries to the developed ones on other service accounts. In 1962 Latin America spent fully 61 percent of its foreign exchange earnings on services that were supposedly rendered to it by the developed countries. Half of this, or 30 percent of the total, was accounted for by officially registered profit remittances and debt service. The other half was composed of Latin American payments to the developed countries, which means mostly the United States, for transportation and insurance, travel, other services, donations, transfer of funds, and errors and omissions (in registered capital flows). Moreover, Latin America's loss of capital on service accounts is increasing over time: while in 1961–63 it was 61 percent, in 1956–60 it had been only 53 percent.[93] This capital outflow amounts to 7.3 percent of Latin America's Gross National Product (GNP), or 10 percent if we add the 3 percent of GNP lost by recent years' deterioration in the terms of trade; and this equals two and three or more times the capital that "capital poor" Latin America devotes to net investment for

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its own development.[94] Other kinds of capital loss by the underdeveloped countries are not included in these calculations, such as the notorious brain drain, or outflow of human capital that was financed by the poor countries for the subsequent benefit of the rich. Who, we may ask, is diffusing capital to whom?

Beyond the question of the amount and direction of capital diffused, there is the problem of the kind and consequences of foreign aid and investment in underdeveloped countries. That metropolitan investment in and control of primary sector production in underdeveloped countries (in, e.g., sugar, bananas, minerals, and most spectacularly petroleum) has notably failed to develop the underdeveloped countries, but has instead interposed a whole series of obstacles to their development, has by now surely been sufficiently documented to be obvious even when viewed from the developed countries themselves.

Foreign investment in the industrial and service sectors of underdeveloped countries raises further questions. It *is* far from clear that even this investment helps underdeveloped countries to develop. Nonetheless, with few exceptions, writers from the developed countries have failed to question, much less to analyze, the supposed benefits of this foreign investment to underdeveloped countries. Economists and statesmen from the underdeveloped countries, on the other hand, are increasingly challenging these supposed benefits and are going on to analyze the obstacles to industrialization and economic development created by foreign investment. For example, a congress representing thirty-four Schools of Economics in Latin America recently concluded that

> [d]irect foreign investment has many unfavorable effects on the balance of payments, on economic integration and on capital formation in our countries; it determines in great measure the character and direction of our foreign trade, stimulates monopolistic competition, absorbs or subordinates weaker national firms, etc. For all these reasons it is necessary to adopt ways and means that can impede these negative effects.[95]

Arturo Frondizi wrote as follows during his successful electoral campaign for the presidency of Argentina:

> It is not amiss to remember that foreign capital usually acts as an agent which perturbs the morality, the politics, and the economy of Argentina. . . . Once established thanks to excessively liberal concessions, foreign capital obtained bank credits which permitted it to expand its operations and therefore its profits. These profits are immediately sent abroad as if all of the investment capital had been

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> imported by the country. In this way, the domestic economy came to strengthen foreign capitalization and to weaken itself. . . . The natural tendency of foreign capital in our country has been, in the first place, to settle in areas of high profits. . . . When Argentinian effort, intelligence, and perseverance created an independent economic opportunity, foreign capital destroyed it or tried to create difficulties for it. . . . Foreign capital had and has a decisive influence in the social and political life of our country. . . . The press is usually also an active instrument of this process of submission. . . . Foreign capital has had special influence in the political life of our nation, allying itself with the conservative oligarchy . . . those who are tied to foreign capital by economic ties (directors, bureaucratic personnel, lawyers, newspapers that receive advertisements, etc.) and those who, without having economic relations, end up being dominated by the political and ideological climate created by foreign capital,[96]

Octaviano Campos Salas, before he became minister of industry of Mexico, summarized the consequences of foreign investment as follows:

> (A) Private foreign capital takes over high profit sectors permanently, expelling or not permitting the entry of domestic capital, by relying on the ample financial resources of its home office and on the political power which it sometimes exercises. (B) The permanent takeover of important sectors of economic activity impedes domestic capital formation and creates problems of balance of payments instability. (C) Private direct foreign investment interferes with anti-cyclical monetary and fiscal policy—it comes when there are expansions and withdraws during depressions. (D) The demands by private foreign investors for concessions to form a "favorable climate" for investment in the receiving countries are unlimited and excessive. (E) It is much cheaper and more consistent with the underdeveloped countries' aspirations to economic independence to hire foreign technicians and to pay royalties for the use of patents than to accept the permanent control of their economies by powerful foreign consortia. (F) Foreign private capital does not adapt itself to development planning.[97]

It is not, then, indisputably obvious that the underdeveloped countries would be still more underdeveloped if they were not visited by foreign capital.[98] Evidently, not any and all diffusion, even of capital, let alone of other things, is an aid to economic development.

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Technology

Technology is diffused only in part. However, the problem is not, as the diffusionists would have us believe, one of insufficient quantity of technology diffused, and still less one of cultural resistance to its acceptance and employment in technologically backward areas. The problem of technology and its diffusion arises out of the same monopoly structure of the economic system on the world, national, and local levels. During the course of the historical development of the capitalist system on these levels, the developed countries have always diffused out to their satellite colonial dependencies the technology whose employment in the colonial and now underdeveloped countries has served the interests of the metropolis; and the metropolis has always suppressed the technology in the now underdeveloped countries that conflicted with the interests of the metropolis and its own development, as the Europeans did with the irrigation and other agricultural technology and installations in India, the Middle East, and Latin America; or as the English did with industrial technology in India, Spain, and Portugal.[99] The same is true on the national and local levels in which the domestic metropolis promotes the technology in its hinterland that serves its export interests and suppresses the preexisting individual or communal agricultural and artisan technology that interferes with the use of the countryside's productive and buying capacity and capital for metropolitan development.

Throughout this historical process the metropolis has maintained a high degree of monopoly over industrial production and technology, which it has relinquished only when it had already established an alternative source of monopoly in heavy industry; it is slowly beginning to relinquish the latter in our day, now that it has developed a still newer source of technological monopoly in electronics, synthetics, cybernetics, and automation in general. Far from diffusing more and more important technology to the underdeveloped countries, the most significant technological trend of our day is the increasing degree to which new technology serves as the basis of the capitalist metropolis' monopoly control over its underdeveloped economic colonies.

Some of the facts of technological diffusion, which sharply contrast with most of the diffusionist faith, were recently analyzed by the American business magazine, *Newsweek,* under the title "The U.S. Business Stake in Europe":

> To knowledgeable Europeans, in fact, the technical lead of the big U.S. companies is the most disturbing facet of the dollar invasion. In the future, a French study committee recently concluded, competition over prices will give way to competition in innovations, and the pace will be so hot that only firms of international size—that

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> is, American ones, chiefly—will survive. . . . European industries will function more and more under foreign licensing agreements; they will become subsidiaries of U.S. parent companies, which will sell them their know-how and manage Europe's production. . . . French politicians and publications of the right, left, and center have been accusing the U.S. of economic colonization, satellization, and vassalization. . . . A company chairman in Brussels sums up: "We are becoming pawns manipulated by U.S. giants." . . . An Olivetti executive discussing alternatives to the GE [General Electric] deal . . . [declared] "But even if we had merged with Machines Bull in France and Siemens in Germany (which later signed a licensing agreement with RCA [*Newsweek*]), we still would have been dwarfed and eventually put out of business by the U.S. giants. . . . Research costs are too high. The transatlantic technological gap is a fact of life. . . . We studied a European solution very carefully. . . . There is no European solution to these problems.[100]

Contrary, then, to what the diffusionist would have us believe, the hard fact of technological diffusion, as these members of the developed European business community are well aware, is not the essentially simple matter of diffusing technological development aid from the more developed to the less developed countries. Still less, of course, is the problem of technological diffusion and economic development one of cultural resistance derived from traditionalism or from Hoselitz's pattern variables. If these strong and developed European economies cannot find a European solution to the real developmental problem posed by the technological gap (rather than to the fancied one of the diffusionists), what hope do the weak and underdeveloped economies caught in the same system have to find such a solution?[101] It is surely no accident that among European and previously underdeveloped countries, it is only in the socialist countries—the Soviet Union and China—that a "solution to these problems" has been found.

Institutions

The past, present, and future diffusion of institutions and values from developed to underdeveloped areas is a fact beyond question. The construction of an entire theory of economic development on this foundation is another matter. In addition to Manning Nash, who is probably best classified in this category—although he rejects diffusionism in its crudest "pitchforking" form as he calls it—theorists concerned with the developed countries' diffusion of institutions and values, and the underdeveloped recipients' resistance to them, have been well represented in the pages of *EDCC*.[102] Technically, diffusionist theory might deal with the diffusion of any kind of institutions or values. In practice, however,

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the diffusionist school has concentrated its attention on the diffusion of old-fashioned or newfangled liberalism (though they rarely call it this)—which is, indeed, most of what has been diffused from the metropolitan to the now underdeveloped countries during the last century. Consequently, I shall concentrate attention on the diffusion of liberalism, in its economic, political, and social forms. Moreover, the pattern variables of universality, achievement orientation, and functional specificity with which Hoselitz identifies economic development are little more than liberalism recast into technical-sounding jargon. This is what Hoselitz apparently would like to see diffused to transform underdevelopment into development. Does diffusionism constitute an adequate development theory, and does the diffusion of liberalism or of anything else serve as an effective economic development policy?

Economic liberalism was and is diffused, not in general, but under very specific and particular circumstances. Its exportation from the metropolis is an expression of the particular interests of those who diffuse it, as its importation by the underdeveloped countries is an expression of the particular interests of those who are acculturating to it. The specific circumstances of and particular interests in the diffusion and acculturation of liberalism, like anything else, were and still are determined by the structure and development of the economic, social, and political system within which it occurs. The German economist Friedrich List reported in the 1840s that an American Supreme Court justice had observed, in regard to one of liberalism's most important tenets, that like most of Great Britain's other products, the free-trade doctrine was produced primarily for export.[103] A few years later, U.S. President General Ulysses S. Grant observed that

> for centuries England has relied on protection, has carried it to extremes, and has obtained satisfactory results from it. There is no doubt that it is to this system that it owes its present strength. After two centuries, England has found it convenient to adopt free trade because it thinks that protection can no longer offer it anything. Very well, then, Gentlemen, my knowledge of my country leads me to believe that within 200 years, when America has gotten all it can out of protection, it too will adopt free trade.[104]

President Grant only erred by a century: since the Second World War, that is, since it achieved the unrivaled industrial supremacy and near monopoly in the world that Britain had attained a century before, the United States both directly and through its controlling influence in international agencies, such as GATT, the International Monetary Fund, and the World Bank, has been most adamant in exporting free trade. Free

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trade, like free enterprise, is protective monopoly under another name—as Frederick Clairmonte has so well shown.[105]

The circumstances and interests leading to the underdeveloped countries' ready acculturation to international free trade and domestic economic liberalism in the nineteenth century—and to free trade in technology and free enterprise in the twentieth century—can be summarized just as clearly:

"The doctrine of liberalism, imported from Europe, thus found fertile ground in our country [Chile] and grew vigourously. It constituted the theoretical basis to re-enforce the interest of the controlling forces, inasmuch as it represented and expressed its desires."[106]

Another more specific and thorough observation is worth quoting at length:

> The pressure groups who controlled the economic policy of the country were decidedly freetraders : they were more freetrader than Courcelle-Seneuil, the famous and respected leader of doctrinaire freetradism: they were definitely more Catholic than the Pope.... The mining exporters of the North of the country were free-traders. This policy was not fundamentally due to reasons of doctrine—though they also had these—but rather to the simple reason that these gentlemen were blessed with common sense. They exported copper, silver, nitrates and other minerals... they were paid in pound sterling or dollars.... It is hard to conceive of an altruism or a farsighted or prophetic vision which would lead these exporters to pay export and import duties with a view to the possible industrialization of the country.

Véliz goes on to describe how the agricultural and livestock exporters and the big import houses operated in terms of the same logic. He adds:

> Here then is the powerful coalition of strong interests which dominated the economic policy of Chile during the past century and part of the present one. None of these three had the very least interest in Chile industrializing. They monopolized the three powers at all levels; economic power, political power, and social prestige.[107]

Aldo Ferter finds the same pattern in nineteenth-century Argentina:

> The merchants and livestock owners, who were the dynamic forces in the development of the littoral, were chiefly interested in the expansion of exports. Free trade thus became the philosophy and practical policy of these groups.... Free exports also meant freedom to import.[108]

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Ferrer returns to discuss the Argentina of our day after its supposed takeoff into industrialization during the 1930s and 1940s, and after the expulsion of Peron and the abrogation of his policy in the 1950s by these same groups and their foreign, now primarily American, allies who instituted the policy of the International Monetary Fund instead:

> In January of 1959, Argentina began the application of a stabilization plan.... At the same time the exchange rate structure was liberalized, and the peso was devalued.... Devaluation has become, moreover, a tool of economic policy explicitly designed to change the domestic price structure in favor of the export sector.... The difficulties of this kind of readjustment, in view of the objective conditions obtaining in the Argentinian economy as well as in the world market, are reflected in the fact that stagnation has not been overcome and that the rigidities of the economic system which determine it, far from being on the way to solution, have become even more serious.... The financial and monetary policy... has been accompanied by a strongly regressive redistribution of income.... There has been a strong business contraction.... The deficit in the balance of payments and the government budget and the rise in price have not been resolved.... In fact, the stabilization plan and the recommendations received from abroad have simply served as a tool in the hands of the sectors who saw their immediate and long term interests served by the impact of the policy followed on the distribution of income and the *backward* structural adjustment of the Argentinian economy.[109]

Two additional well-known examples are instructive as to how economic liberalism in the domestic economies of the underdeveloped countries promotes monopoly and thereby the underdevelopment of the majority. One example is the nineteenth-century breakup, in the name of liberalism, of communally held Indian land, its distribution into private ownership and consequent monopoly concentration during the epoch of liberal reform—a concentration which far exceeded that of the autocratic colonial times.[110] Another example is the currently ever greater monopoly concentration of finance, commerce, industry, and (still) of land in underdeveloped countries under the aegis of the "free" world's "free" enterprise.[111] It is clear then that the diffusion and acculturation of economic liberalism between the developed (or developing) metropolitan countries and their underdeveloped satellites—as well as that within the underdeveloped countries—is a response to interests, and produces consequences that can be summed up in a single word: monopoly. Contrary to the elaborate classical and neoclassical theoretical economic edifice that was carefully built up in Manchester (the first city to enter the modern industrial age!)

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and that is still being assiduously exported and imported by interested parties, the diffusion of economic liberalism has quite consistently contributed its significant share to the establishment, maintenance, and strengthening of economic monopoly, both on the national and international levels. Through this monopoly, economic liberalism has contributed to the economic development of *those who diffuse it*; to, as the United Nations Economic Commission for Latin America calls it, the limited "outward-oriented development"[112] of the capitals of the underdeveloped countries; and to ever more underdevelopment for the world's majority who were and are liberally forced to suffer its consequences. The diffusion of political liberalism that accompanied and followed the spread of economic liberalism cannot be said to be very different. Since the consequences of the diffusion of political liberalism are clear in the aforementioned analysis of economic liberalism, and since they are explicit in our daily newspapers, it is unnecessary to rely on Lenin's analysis of the relations between economic and political power and institutions in his *The State and Revolution*, or to go into it here.[113] The only remark that needs to be made is that the relations between economic and political power—again discussed by President Eisenhower in terms of the "military-industrial complex"[114] and by C. Wright Mills[115]—are even more intimate in the underdeveloped countries than they are in the developed ones, which are discussed by Lenin, Eisenhower, and Mills.

Although it does not go by that name, we may also observe the diffusion of and acculturation to "social liberalism." This modern liberalism takes the form primarily of promoting "social mobility" and "middle classes" in the underdeveloped countries. Like the others, social liberalism is advertised as leading to a more open, democratic society capable of greater and faster economic development. We have observed earlier that Hoselitz's pattern variable approach lends support to this thesis, and that Johnson and Germani, among many others, propose the promotion of middle classes and of social mobility as development theory and policy. Johnson diffuses it from the United States,[116] and Germani acculturates to it in Argentina when he writes under the title of "A Strategy for Promoting Social Mobility."[117] Like economic and political liberalism, social liberalism is, however, more aptly described as individual liberalism. It is the liberty of a few individuals to move, to monopolize, and thereby restrict the development of the economic, political, and social whole. Those persons in underdeveloped countries who have migrated from country to city or moved from a lower economic and social status to a higher one often say in one way or another that they have made their own individual reform or revolution. In so doing they express not only the conservatism that reflects their desire to maintain their newly gained position but also a fundamental social scientific truth, which seems to escape the attention of diffusionists

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and others: "social" mobility is really *individual* mobility and does not transform social structures: rather, a change in the social structure may render possible *social* mobility and economic development.

As with the other liberalisms, the evidence is accumulating (supplied in part by Hoselitz himself, as we saw earlier)[118] that the diffusion to the underdeveloped countries of the institutions and values of social liberalism is highly selective at both the diffusing and acculturating ends. The selective diffusion is determined by the structure of the international system, including the structural relations of the sending and receiving societies and subsocieties within it. Far from aiding the development of the underdeveloped countries, social liberalism hinders it. As we noted earlier, social mobility and the rise of the middle classes in the underdeveloped countries renders the distribution of income not more but less equal;[119] and it provides economic and political support not for changing but for maintaining and reinforcing the structure of the economic, political, and social status quo.[120]

Theoretical Adequacy

As with our examination of the first mode, our review of the empirical validity of propositions in the second mode offers a good vantage point from which to evaluate their associated theoretical formulations. Like the first mode, the diffusionist approach suffers from serious theoretical shortcomings because of its failure to take adequate account of the determinant structure and development of the social system within which diffusion, acculturation, and economic development and cultural change take place. Perhaps the most important theoretical fault of diffusionism is that it is premised on dualism instead of on structural and developmental holism. In the pages of *EDCC*, the theory of dualism itself has been most explicitly advanced and defended by Benjamin Higgins,[121] who rejects the social dualism of Boeke[122] only to argue that dualism has a technological and economic basis. Reflecting its widespread acceptance, dualism is explicitly expressed in *EDCC* by writers and reviewers who span the globe.[123]

Although explicit reliance on the dual society or economy thesis is usually reserved for the analysis of underdeveloped countries alone, the dualist thesis is implicit in the entire analysis of development reviewed here.

All three modes of analysis seek to analyze both the differences between developed and underdeveloped countries as well as the inequalities within the latter by attributing separate and largely independent economic and social structures to the developed and underdeveloped sectors, each with its own separate history and dynamic, if any. (Frequently, as we have seen, the one part is denied any history at all.) Jaques Lambert, for example,

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argues in his *Os Dois Brasis* [The Two Brazils] that

> the Brazilians are divided into two systems of economic and social organization.... These two societies did not evolve at the same rate... they are separated by centuries.... The dual economy and the dual social structure which accompanies it are neither new nor characteristically Brazilian—they exist in all unequally developed countries.[124]

In this sense, the plantation or mining sector of an underdeveloped country is viewed as an enclave of the developed metropolitan economy on foreign soil. The "enclave" is presumed not to be a real part of the supposedly isolated subsistence economy of the underdeveloped country itself; and it is thought to exercise little if any economic and social influence on this isolated sector in the present, and none in the past.[125] Similarly, in a supposedly somewhat less underdeveloped country, part of the population, usually the indigenous inhabitants, are said to be outside the market economy and marginal to the national society and to the world as a whole.[126] This conception of a dual economy and society, whether the duality be attributed to cultural, social, technological, economic, or other causes, then gives rise to the diffusionist theory and policy regarding the diffusion of capital, technology, and institutions.

The dualist theory and the diffusionist and other theses based on it are inadequate because the supposed structural duality is contrary to both historical and contemporary reality:[127] the *entire* social fabric of the underdeveloped countries has long since been penetrated and transformed by, and integrated into, the world-embracing system of which it is an integral part. The facts of this penetration have been presented and the thesis of the consequent transformation and integration has been persuasively argued for Meso-America by Eric Wolf;[128] for India by Marx,[129] Dutt,[130] and Desai;[131] for China by Owen Lattimore;[132] for Africa by Woddis,[133] Suret-Canale,[134] and Mamadou Dia;[135] and even for Indonesia, the birthplace of dualism, by Wertheim and Geertz,[136] the latter formerly a research associate of Higgins and now a colleague of Hoselitz.

More specifically, as Eric Wolf[137] has taken great pains to point out for Meso-America and this writer for Brazil,[138] it is not true, as diffusionists and others implicitly or explicitly maintain, that the isolation of indigenous peoples, peasants, and others, declines over time until they are completely integrated in the national society, which then is no longer dual. On the contrary, the degree of integration and other aspects of the relationship that these peoples have with others at home and abroad varies in ways that are determined primarily by the structure and development of the national and international capitalist system, and secondarily by these

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peoples' own very partially successful efforts to defend themselves against the exploitative consequences of this system.

Dualism is not only theoretically inadequate because it misrepresents and fails to analyze the capitalist system on the international, national, and local levels, but also because it fails to adhere to the standards of holism, structuralism, and historicity. Dualists contravene holism in explicitly setting up two or more theoretical wholes to confront a single social whole, which they cannot or will not see. As for structuralism, dualists fall far short because if they see and deal with any structure at all it is at best the structures of the parts. They do not deal with, and even deny the existence of, the structure of the whole system through which the parts are related—that is, the structure that determines the duality of wealth and poverty, of one culture and another, and so on. As to the historical development of the social phenomena they study, dualists and diffusionists either deny any history to one part altogether or, observe its ongoing social change without the historical perspective necessary to interpret it adequately; and they steadfastly abstain, of course, from giving any consideration whatsoever to the historical development of the social system of which diffusing donor and acculturating recipient are but parts. Little wonder then that diffusionists and other dualists who only look at appearances misunderstand their significance and misjudge their consequences for economic development and cultural change.

As Marx said, science would be pointless if the outward appearance of things were to correspond to their inner significance. Thus the task of social scientific theory, which dualist and other advocates of the three modes reviewed here fail to pursue, is not to see how different the parts are, but, on the contrary, to study what relates the parts to each other in order to be able to explain why they are different or dual. If the policy of economic development and cultural change is really meant to eliminate these differences—or the undesirable ones among them—then its task must be to change the relationships that produce these differences: that is, it must change the structure of the entire social system that gives rise to the relations and, therefore, to the differences of the dual society.

The unfortunate, though not inexplicable, fact is that the theory and policy reviewed here is moving away from this task. With their supposedly structural and historical ideal typical approach, the disciples of Weber are leaving their teacher's scientific scope and method behind and dedicating themselves to no more than its cruel caricature. Similarly, dualists and diffusionists-acculturationists are corrupting the vision and work of one of their principal teachers of recent times, Robert Redfield. In creating the ideal type of the folk community, and in analyzing diffusion along the folk-urban continuum,[139] as well as in his later works on the relations between high and low culture,[140] Redfield, no doubt unintentionally,

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encouraged contemporary students of economic development and cultural change to adopt a dualism and diffusionism that he himself rejected in his later years.

Redfield taught that in situations of culture contact diffusion is never a one-way affair. In this respect, then, the diffusionist emphasis on diffusion from the metropolis to the periphery, and the virtual exclusion of the reverse, is a departure from Redfield as well as being unacceptable on other theoretical grounds. Moreover, although Redfield was far from being a structuralist (although he spared no pains to emphasize the need for holism in social scientific theory), he did call our attention to the structural determination of mutual diffusion between, for instance, high and low culture within a single social system. Nonetheless, Redfield's lessons seem not to have come to the attention of that majority of diffusionists who employ his terminology while distorting his ideas.

Finally, it was Redfield more than anyone else in recent times who insisted that there are no peasants without the city to which they are tied and which defines them as peasants, and that there can be no city without its peasants or their equivalent.[141] It is clear, then, that at least the later Redfield himself recognized and emphasized the *holistic interdependence and unity* of the dual ideal typical poles and social sectors he made so popular. It may be lamentable that Redfield did not extend this holism to the larger social system and to historical evolution, although his concern with the relations between high and low culture in his last years may have been a step in that direction. It is certainly more than lamentable, however, that so many of his diffusionist and dualist followers have abandoned their mentor's empirical realism and scientific holism and have substituted the most simplistic and crassly nonholistic diffusionism.

Policy Effectiveness

As a policy of economic development and cultural change diffusionism has been largely ineffective. The centuries-long contact and diffusion between the metropolitan countries and the now underdeveloped ones has failed to result in the economic development of the latter. Nor has any diffusion from the capitals to the provinces of the underdeveloped countries brought about the development of these hinterlands. New technology may have increased diffusion beyond that of certain times in the past but surely not beyond the diffusion of initial contact times which, far from initiating the development, initiated the underdevelopment of the now underdeveloped countries. More diffusion, per se, does not generate more development. Moreover, the diffusion that follows in the train of new roads, buses, transistor radios, and so on, is not increasing the economic

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development of the recipient regions. Often it has helped to sink them into even deeper and more hopeless underdevelopment.

Conceived in its present form, diffusionism is inherently ineffective as a policy of economic development and cultural change. For it is not so much diffusion that produces a change in the social structure as it is the transformation of the social structure that permits effective diffusion. Development, underdevelopment, and diffusion are all a function of the social structure. In order for the underdeveloped parts of the world to develop, the structure of the world social system must change—on the international-, national-, and local levels. This structural change, however, cannot be brought about by diffusion. On the contrary, the structure of the system itself on all these levels determines the amount, nature, direction, and consequences of the past and present diffusion—a diffusion that has so far produced development only for the few and underdevelopment for the many, and by all indications will continue doing so. Consequently, the structure of this system has to change in order to permit development for all and to permit diffusion to contribute to that development.

The Psychological Approach

Nash introduces the third approach as the one "most profitably pursued," and that leads to "smaller scale hypotheses, to a prospective rather than a retrospective view of social change." Furthermore, Nash writes:

> These papers I commend to your attention as examples of the dialectic of social knowledge, the confrontation of bold assertion against fact, and the incorporation of more general fact in ever bolder, more elegant assertion.[142]

Nevertheless, a year later, comparing the psychological (and to some extent the first) mode of approach with his own second mode as published in *EDCC*, Nash seems to have had second thoughts:

> The 'specific factor' analysis of social requisites (like lack of entrepreneurship, low achievement motivation, particularism, capital shortage, etc.) is not likely to provide anything systematically relevant to an understanding of growth. . . .[143]

When Nash says that this mode of analysis leads to smaller-scale hypotheses, he is quite right, as we will see later. However, it should be noted here that the first two modes were seen to be inadequate precisely because

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the scale of their theory and hypotheses is already too small to treat adequately the dimension and structure of the social system that gives rise to both development and underdevelopment.

As any historian of social thought will recall, Marx turned Hegel on his head and substituted historical materialism for idealism. Further, he worked with relatively large-scale theory and hypotheses, which he derived from his examination of the capitalist system as a whole as he saw it. Being a true holist, Marx was led—inevitably as Parsons pointed out earlier—to the observation that exploitation is a necessary basis of this system and to the conclusion that such a basis generates the polarization of the system. Since this conclusion was not palatable to Social Democrats such as Weber and Durkheim, whose disciple Parsons became, they set out to construct an alternative theory of the social system by starting with its parts rather than with the whole—a procedure that, as Parsons says, inevitably deemphasizes exploitation and makes the system appear to be not polarizing or disintegrative but integrative instead. Nonetheless, although Weber and Durkheim intentionally and explicitly abandoned the approach, conclusions, and policy of Marx, they still retained strong emphasis on the determinative importance of social structure and, in the case of Weber especially, of history as well. Even Hoselitz, being directly as well as via Parsons a disciple of Weber, and an advocate of the first mode of analysis, retains considerable interest in the role of social structure (he even puts it in his title) despite the attraction that the third mode approach of David McClelland, although apparently not of Everett Hagen, holds for him.[144]

The pioneering service, as Nash's coeditor Robert Chin calls it, of these latter students of economic development and cultural change is precisely that they drop all pretense and practice of social scientific structuralism. They "Freudianize" Weber to such an extent that they no longer follow him at all. In fact, they specifically deny the importance of social structure and reject structural analysis. Although Hagen puts the word "social" into his title, he is quite frank in his preface in explaining that his theory is not social at all but rather psychological—or really psychiatric.[145] McClelland, reviewing Hagen's book in *EDCC*, agrees: he calls it "A Psychological Approach to Economic Development," albeit one that he finds to be not up to his own standards.[146] Not to be outdone, McClelland is quite explicit in telling his readers that not the social structure as Weber had it, nor even assignment of and reward in social roles based on achievement (as in Hoselitz's view), but only a high degree of individual motivation or need for achievement is the alpha and omega of economic development and cultural change:

> In its most general terms, the hypothesis states that a society with a generally high level of *n* Achievement will produce more energetic entrepreneurs who, in turn, produce more rapid economic development . . . it

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> must satisfy us to have learned that high *n* Achievement leads people to behave in most of the ways they should behave if they are to fulfill the entrepreneurial role successfully as it has been defined by economists, historians, sociologists.... The whole view of history shifts once the importance of the achievement motive is recognized. For a century we have been dominated by Social Darwinism, by the implicit or explicit notion that man is a creature of his environment, whether natural or social. Marx thought so in advocating economic determinism, in arguing that man's psychology is shaped in the last analysis by the conditions under which he must work. Even Freud thought so in teaching that civilization was a reaction to man's primitive urges and to the repressive force of social institutions beginning with the family. Practically all social scientists have in the past generations begun with society and tried to create man in its image. Even Toynbee's theory of history is essentially one of environmental challenges, though he recognizes that states of mind can create internal challenges.[147]

In his contribution to the volume edited by Nash and Chin, McClelland goes on to be even more explicit.

> What is needed is a glacial shift in Western and particularly American social thinking. Ever since Darwin, social scientists have almost unconsciously started with the premise that the environment is primary and that the human organism somehow learns to adapt to it.... Consequently if one wants to change anything really fundamentally, he must start by modifying material arrangements in the environment which in turn will gradually reshape institutions and eventually ideas. Yet the evidence, as in the present instance, is very strong that it is just as often and perhaps more often initiated the other way around. This is just one more piece of evidence to support the growing conviction among social scientists that it is values, motives, or psychological forces that determine ultimately the rate of economic and social development—... *The Achieving Society* suggests that ideas are in fact more important in shaping history than purely materialistic arrangements.[148]

We have returned full circle to Hegel. Except that McClelland's prescriptions for progress are not quite Hegel's. In his book's final chapter entitled "Accelerating Economic Growth," McClelland summarizes his prescriptions in his subtitles: "Increasing Other-Directedness and Market Morality"; "Increasing *n* Achievement"; "Decreasing Father Dominance"; "Protestant Conversion"; "Catholic and Communist Reform Movements"; "Effects of Education on *n* Achievement"; "Reorganizing Fantasy Life";

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"Utilizing Existing *n* Achievement Resources More Effectively"; and he offers a final recommendation:

> So we end on a practical note: a plan for accelerating economic growth through mobilizing more effectively the high *n* Achievement resources of a developed country to select and work directly with the scarcer high *n* Achievement resources in underdeveloped countries particularly in small and medium scale businesses located in provincial areas. . . .[149]

This new pioneering service was undoubtedly inspired by Weber's emphasis on values in *The Protestant Ethic and the Spirit of Capitalism*[150] and reinforced by Schumpeter's emphasis on entrepreneurship in *The Theory of Economic Development*.[151] The post–Second World War revival of academic interest in economic development was soon followed by a return to the letter if not to the spirit of Weber and Schumpeter. Books and articles on the role of religion and values in economic development appeared in great numbers, not a few of them in *EDCC*, as cited earlier.[152] Simultaneously, Harvard University set up a Research Center in Entrepreneurial History and a journal, *Explorations in Entrepreneurial History.* Papers on entrepreneurship as a crucial factor in economic development and cultural change were published in *EDCC* and elsewhere.[153] The increasing evidence against the supposed role of the Schumpeterian entrepreneur in economic development, not only in underdeveloped countries but even in the nineteenth-century United States,[154] has not prevented the psychological idealizers of economic development from going on to advance theories such as those of Hagen and McClelland. Nor has it prevented *EDCC* from following in their footsteps to publish an entire series of studies reinterpreting the world to show the supposed importance of the achievement motive.[155] Furthermore, *EDCC*'s reviewer of *The Achieving Society*, S. N. Eisenstadt, concludes:

> the fact that in discussing this book, are confronting it with Weber's work, is the measure of the importance of the problems raised by McClelland's endeavor . . . McClelland has given a very stimulating and important work which anybody interested either in the broader problem of the impact of motivational orientation on society or in the more specific problem of economic development cannot ignore."[156]

To his and *EDCC*'s credit, John H. Kunkel has recently evaluated this "pioneering service":

> As long as man's activities are considered to be a function of values or personality, little attention need be directed to the immediate

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surrounding social environment, since it is not so much the present social structure as that of the past which is most involved in the formation of values and personality. The delineation of societal prerequisites of economic development, according to this view, can accomplish no more than prepare the ground for industrialization years, if not decades, in the future. However, as soon as behavior is considered to be a function largely of the surrounding social structure, both past *and* present, which affects behavior through the continuously operating determination of reinforcing and discriminative stimuli, the present social system takes on great importance. The behavioral prerequisites of economic development can be created only through alterations of the social structure, or certain elements of it, viewed broadly and including the economic system of a society.... There is no foundation, on theoretical grounds, for the pessimistic outlook concerning the capacity of the underdeveloped countries to industrialize in a short period of time. Pessimistic conclusions regarding the time necessary for the preparation of the right psychological conditions for economic development are based, essentially, on an incorrect conception of man and on the disregard of principles of behavior formation and maintenance derived from experimental psychology.[157]

Nevertheless, in his contribution to the collection of papers edited by Nash and Chin that exemplifies this third mode approach, Kunkel's criticism is based largely on psychological principles and is limited essentially to methodological criticism of the third mode's empirical assertions.[158] So is Eisenstadt's criticism in his review of McClelland's book.[159] Furthermore, Kunkel's proposed alternative in his contribution to *EDCC* is limited to suggesting that behavioristic methodology can overcome the methodological shortcomings of the approach exemplified by Hagen and McClelland.[160] In this connection, Kunkel rightly observes:

Hagen makes much use of personality as an "internal state" of individuals. The characteristics of the "internal state" are derived from psychoanalytic theory, and then used to support the theory and the hypothesized relations among observed facts and inferred characteristics. When psychoanalytic concepts and theories are used in the study of economic development, problems of validating the concepts make any casual generalization difficult to test and accept on bases other than faith. The casual analysis is inadequate. Hagen infers causes from effects, but no evidence is presented to validate the inference made.... McClelland postulates a variety of needs as components of a person's "internal state," but this method of analysis involves

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> inferences from behavior (e.g., the writing of stories based on TAT pictures) which are difficult to validate, in order to explain the data collected by McClelland and his associates.[161]

Both Kunkel and Eisenstadt find that the work of these students of economic development and cultural change is deficient in that it fails to establish a methodologically adequate efficient cause between the supposedly causative psychological states and the supposedly derivative economic development. Kunkel's purpose in his contribution to *EDCC* is to provide such an efficient causative relation, which is not dependent on untestable inferences about internal states of mind.[162]

Whatever the methodological merits or demerits of Kunkel's resort to behaviorism, it is as limited to generating small-scale hypotheses, as Nash calls them, and to recommending small-scale changes as is the methodology it seeks to substitute. Kunkel himself concludes:

> If it is true that striving behavior, like any other, is shaped through differential reinforcement [such as reward and punishment by parents, as Kunkel tells us elsewhere], there is no reason why an internal state . . . should have to be postulated as an essential element in the analysis of economic development. . . . Various selected elements of the societal environment are amenable to change today, thereby making possible the shaping of behavior patterns necessary for economic development. . . . Since usually only a few aspects of the societal environment can be altered, present efforts to create behavioral prerequisites must begin on a small scale.[163]

This suggests that, to evaluate the theoretical adequacy of the third mode approach, we must bring still other criteria to bear, such as the historicity and holistic structuralism by which we already examined the first two approaches.

As editor of a collection of works that exemplifies the third mode Manning Nash holds that of the three modes he is able to visualize, this third one is "most profitably pursued." One of its profitable aspects is that it leads "to a prospective rather than a retrospective view of social change." That is, as we may infer, Nash thinks that the social scientists working in terms of the third mode are performing a pioneering service not only because they abandon Weber's structuralism, leaving Bert Hoselitz behind as well—and he after all not only retains some structuralism but also is world renowned as an economic historian—but also because in not looking back, these pioneers leave behind them Weber's retrospective and historical approach and analysis.

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However, Nash does not confine himself simply to lauding this effort and to recommending that students of economic development and cultural change forget about the past history of the underdeveloped countries concerned. Instead, he goes on to deny that the underdeveloped countries have any history. The third approach, he says, poses three main theoretical problems: "1. To systematically take account of the varieties of *traditional* societies, 2. To seek out the sources of resistance . . . among the various species of *traditionality*, 3. [To study why a society may or may not come] to rest somewhere between its *initial base* and modernity."[164]

In other words, underdeveloped societies have no history; they have traditionally been the way they are now, which is underdeveloped. This is indeed a "bold assertion"; but once it faces "confrontation with fact" this claim is clearly revealed to be a falsification. How could Nash make such an assertion after having done the fieldwork for his doctoral dissertation in a community descended from a people who are world renowned for their history, the last seventy years of which he studied, and after having entitled his book *Machine Age Maya?*[165] How is it a pioneering service for the practitioners and champions of the third mode to take less and less account of the history of the underdeveloped countries they presume to study (especially after having delved into it here and there themselves), and finally to end up denying that the underdeveloped countries and underdevelopment even have history? For whom is this a pioneering service?

The answers emerge if we apply the criterion of structural holism to the question of the theoretical adequacy of the third mode approach and if we inquire into the effectiveness of the policy of economic development and cultural change to which this approach gives rise.

Kunkel correctly notes in regard to both the theory and the policy of the third mode that "little attention need be directed to the immediate surrounding social environment since it is not the present social structure which matters." But the critic of this approach is hardly as explicit and clear as its exponent, McClelland himself: "Ideas are in fact more important in shaping history than purely materialistic arrangements . . . of his [man's] environment, whether natural or social." The third mode of approaching economic development and cultural change, then, represents perhaps the ultimate step in pioneering progress away from classical scientific structural holism. The present economic, social, and political structure does not matter at all: There is no need to change the contemporary status quo.

What, then, according to these purveyors of dialectic social knowledge (as Nash terms their service), is to be done; and how effectively and for whom does their policy of promoting economic development and cultural change work? McClelland tells us what is to be done: "Increasing *n*

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Achievement"…"Protestant Conversion"…"Education"…"Reorganizing Fantasy Life." As McClelland himself recognizes, not only Marx, but even such progressive students as Spencer, the father of Social Darwinism, Toynbee, the father of neo-Thomism, and Freud, the father of individual psychiatry, and all of their intellectual children, never were progressive enough to believe and maintain that so deeply ingrained a social and economic condition of society could be changed simply by having more of its individuals taught to get a hold of themselves and raise their need for achievement, as McClelland would have it; or by not letting themselves be beaten down by adversity, as Hagen would have it; or even by having teachers and parents tell children more hero stories so that when the latter grow up they might be heroic developers themselves. This degree of progress and progressiveness had to await the coming of David McClelland and his disciples.

McClelland gives credit to one source of co-revelation of his vision of economic development and cultural change: the Communists, particularly the Chinese ones.[166] They receive no credit for following the teachings of Marx or other social scientists, the validity of whose theory McClelland denies; no credit for changing any economic, social, or political structure, the need for which change McClelland denies; nor any credit for making a revolution, which McClelland does not deem worthy of mention. Instead, they receive credit for realizing and putting into practice the truth that ideas and *n* Achievement promote economic development: the Chinese are achieving faster economic development than the Indians, McClelland points out.[167] On the basis of what economic, social, and political structure, he does not say: the Chinese have more *n* Achievement and *n* Power.[168] According to McClelland, it does not matter how that structure determines the distribution of power and the direction of achievement. Despite this generous bow to the Chinese Communists, we need no great insightfulness to discern the allegiance and effectiveness of an economic development policy that—following the example of such highly motivated members of the Cambridge, Massachusetts, academic community as W. W. Rostow,[169] McGeorge Bundy, Arthur Schlesinger, Jr., and perhaps David McClelland himself—promotes *n* Achievement and reorganization of fantasy life within the existing economic, social, and political structure, at home or abroad.

In complimenting the Communists, McClelland fails to give due credit where it really belongs. It is Frank Buchman and his worldwide movement for Moral Rearmament (MRA) who preached precisely the policy of economic development and cultural change now clothed in academic gown by David McClelland. His policy advice to developers is to take their eyes off and leave as is the economic, social, and political structure of the status quo; prepare instead each man for himself to rearm morally and spiritually to face the difficult road of economic development, cultural change, and

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social progress that lies ahead. The political character and effectiveness of this development policy is amply demonstrated by its practitioners who include such renowned practical dialecticians, progressive servants, and self-declared MRA supporters as ex-Chancellor Adenauer of Germany, ex-Premier Kishi of Japan, ex-Prime Minister Tshombe of Katanga and the Congo, and the second President of Brazil after the 1964 military coup General Costa e Silva.

Conclusion

Having examined the three modes of approach to and analysis of the problems of economic development and cultural change separately, we can briefly evaluate them conjointly. What first forces itself into view is the wide and deep similarity in the extent of the three modes' empirical inaccuracy, theoretical inadequacy, and ineffectiveness of policy. Yet this similarity should not surprise us. It is no more than the reflection of their fundamental similarity in points of departure, both ideologically and analytically. Thus, the first mode is ideal-typical in that it sets up the supposedly typical characteristics of development. The second mode concerns itself with how these typical characteristics of the first mode are supposedly diffused from the developed countries to the underdeveloped ones. Finally, the third mode, and herein lies its pioneering service, tells us how the typical characteristics that are identified in the first and diffused according to the second mode are to be acculturated by the underdeveloped countries if they wish to develop. This, in a nutshell, is the sum total of this received theory and analysis of economic development and cultural change; it is the alpha and omega of the possibilities that Manning Nash can visualize: it is thanks to this limitation of his, if not of theory and reality, that Nash manages to arrive at the third mode, as he says, "via the argument of residue."

The pioneers of these three modes have progressed; to social dualism, they have added sociological dualism. Their whole theory and theorizing is split down the middle. They see one set of characteristics, take note of one social structure if any; construct one theory for one part of what has been one world economic and social system for half a millennium, and construct another pattern and theory for the other part. And all this in the name of universalism. They argue that one part of the system, Western Europe and Northern America, diffuses and helps the other part, Asia, Africa, and South America, to develop. They similarly argue that those national metropolises of these three continents that have already received the benefits of this diffusion in turn help pull up their own hinterland behind them. They argue that the takeoff by the underdeveloped countries

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and their national metropolises is hindered by the drag on them of their slow and backward hinterlands. Curiously, though fortunately, except for the most irresponsible among them, they do not argue similarly that the takeoff and development of the world capitalist metropolis in Europe and North America is hindered by the drag of its underdeveloped hinterland in Asia, Africa, and Latin America. They ask where the capital for the development of the national metropolises of the underdeveloped countries is to come from and say it must and will come from the developed countries; which is wrong, since in fact it comes from the domestic internal colonies of these national metropolises. They ask where the capital for the development of the already developed countries came from and say it came from themselves; which is also wrong since much, and at the time the critical part, of it came from the consequently now underdeveloped countries. As with most of the remainder of the developed countries'universalism, the theoretical universalism of their social science is a pretense and a sham. If we may borrow something from the arsenal of this mode's pioneers, the theorists of all three modes of economic development and cultural change who like to call themselves universally theoretical dualists are intellectual and political schizophrenics.[170]

To render the real significance and value of this highly developed conventional wisdom still clearer, we may characterize it—no less exhaustively than Nash summarizes it—by the caricature of the twin mythological supports of the society that produced it, which Steinberg put on the cover of a *New Yorker:* Santa Claus and Sigmund Freud. American society rests on and revolves around these twin gods, Steinberg suggests, and, we may add, so does the ideology of economic development and cultural change which that same society produces and exports. How are the people in the underdeveloped countries to achieve economic development? By waiting for Christmas and then accepting the gift of diffusion from Santa Claus in the North. What gift does Santa Claus bear for the peoples of the underdeveloped countries? The latest message from Sigmund Freud. If only the people of the mythically characterized underdeveloped world will, as we did, learn to worship at the altar of these twin Gods, they too will change culturally and develop economically. Can it be any wonder that the people of the real underdeveloped world must, and will, look beyond what some others dream possible to find a theory of economic development and cultural change that is empirically congruent with, theoretically adequate for, and politically acceptable to, their reality, needs, and desires? The direction in which to look for an alternative theory of economic development and change that is more adequate for the underdeveloped countries is suggested by the common shortcomings of the three-part approach of received theory reviewed here. Firstly, where this approach

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is empirically wrong about the past and present reality of the underdeveloped part of the world, the developed part of the world, and the world as a whole, an adequate alternative theory will have to come to terms with the history and contemporary reality of development and underdevelopment. Secondly, where the approach is theoretically inadequate because it cannot identify the determinant social whole, because it takes account neither of the history of the underdeveloped part nor of its relations with the developed part, and least of all of the world as a whole, and because it does not conform to the structure of that world's social system, an alternative theory must reflect the structure and development of the system that has given rise to, now maintains, and still increases both structural development and structural underdevelopment as simultaneous and mutually produced manifestations of the same historical process. Thirdly, where the development policy of this approach is ever more politically conservative and counsels accepting the structural status quo with folded hands while waiting for others' gifts with open hands, an alternative policy for economic development and cultural change will have to be politically ever more revolutionary and help the peoples of the underdeveloped countries to take the destruction of this structure and the development of another system into their own hands. If the developed countries cannot diffuse development, development theory, or development policy to the underdeveloped countries, then the people of these countries will have to develop them by themselves. These three modes of approach are the emperor's clothes, which have served to hide his naked imperialism. Rather than fashioning the emperor a new suit, these people will have to dethrone him and clothe themselves.

Notes

1. Manning Nash, "Introduction, Approaches to the Study of Economic Growth," in "Psycho-Cultural Factors in Asian Economic Growth" (Issue Editors: Manning Nash and Robert Chin), *Journal of Social Issues*, Vol. 29, No. I (January 1963), p. 5.
2. Bert F. Hoselitz, *Sociological Factors in Economic Development* (Glencoe: The Free Press, 1960). Hoselitz is the founder and editor of *EDCC*.
3. Talcott Parsons, *Structure and Process in Modern Societies* (Glencoe: The Free Press, 1960).
4. See especially, Marion J. Levy, Jr., "Contrasting Factors in the Modernization of China and Japan," *EDCC*, Vol. 2, No. 3 (October 1953); reprinted in S. Kuznets, W. E. Moore, and J. J. Spengler, eds., *Economic Growth: Brazil, India, Japan* (Durham, NC: Duke University Press, 1955). Levy refers to a related theme in his "Some Aspects of Individualism and the Problem of Modernization in China and Japan," *EDCC*, Vol., 10, No. 3 (April 1962).
5. Wilbert Moore and David Feldman, *Labor Commitment and Social Change in Developing Areas* (New York: Social Science Research Council, 1960).
6. Daniel Lerner, *The Passing of Traditional Society: Modernizing the Middle East* (Glencoe: The Free Press, 1958).

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7. Everett Hagen, "The Theory of Economic Development," *EDCC*, Vol. 6, No. 3 (April 1957); also see his *On the Theory of Social Change* (Homewood, IL: Dorsey Press, 1962).
8. David McClelland, "A Psychological Approach to Economic Development," *EDCC*, Vol. 12, No. 3 (April 1964); and *The Achieving Society* (Princeton, NJ: Van Nostrand, 1961).
9. John H. Kunkel, "Values and Behavior in Economic Development," *EDCC*, Vol. 13, No. 3 (April 1965).
10. Nash, "Introduction," in "Psycho-Cultural Factors in Asian Economic Growth," *Journal of Social Issues*, Vol. 29, No. 1 (January 1963), pp. 5–6.
11. Robert Chin, "Preface, a New Social Issue," *Journal of Social Issues*, Vol. 29, No. 1 (January 1963), p. iii.
12. A 111-page essay by Seymour Martin Lipset entitled "Elites, Education, and Entrepreneurship in Latin America" was unfortunately not available to me in time to be included in this review. In this essay, Mr. Lipset, who is probably the most technically skillful and influential contemporary American political sociologist, masterfully constructs a misinterpretation of Latin American development out of all the major and most of the minor empirical, theoretical, and policy errors criticized here. The essay has since been published as Chapter 1, "Values, Education, and Entrepreneurship," in Seymour M. Lipset and Aldo Solari, eds., *Elites in Latin America* (New York: Oxford University Press, 1967).
13. Charles P. Kindleberger, "Review of the Economy of Turkey; the Economic Development of Guatemala; Report on Cuba," *Review of Economics and Statistics*, Vol. 34, No. 4 (November 1952).
14. Talcott Parsons, *The Social System* (Glencoe: The Free Press, 1951).
15. Jeffery Duncan Mitchell, *Dictionary of Sociology* (London: Routledge and Kegan Paul, 1967), pp. 130–131.
16. Bert F. Hoselitz, "Social Structure and Economic Growth," *Economia Internationale*, Vol. 6, No. 3 (August 1953); reprinted in *Sociological Factors in Economic Development*, Chapter 2. This is not to say, of course, that this approach exhausts the work of Hoselitz, which on the contrary ranges exceptionally widely over the fields of sociology, economics, history, etc. On the other hand, this part of Hoselitz's work organizes and summarizes a very wide range of work by other social scientists.
17. Bert F. Hoselitz, "Social Stratification and Economic Development," *International Social Science Journal*, Vol. 16, No. 2 (1964).
18. In addition to the already cited article by Levy, see e.g., "India's Cultural Values and Economic Development: A Discussion," *EDCC*, Vol. 7, No. 1 (October 1958); Clifford Geertz, "Religious Belief and Economic Behavior in a Central Japanese Town: Some Preliminary Considerations," *EDCC*, Vol. 4, No. 2 (January 1956).
19. James Abegglen, *The Japanese Factory* (Glencoe: The Free Press, 1958).
20. Nicole Delefortrie-Soubeyroux, *Les dirigeants de l'industrie f française* (Paris: Armand Colin, 1961).
21. David Granick, *The European Executive* (Garden City, NY: Doubleday, 1962).
22. Ferdynand Zweig, *The British* Worker (Harmondsworth: Penguin Books, 1952); *The Worker in an Affluent Society: Family Life and Industry* (London: Heinemann, 1962); Raymond Williams, *Culture and Society 1780–1950* (Harmondsworth: Penguin Books, 1961).
23. Frederick Clairmonte, *Economic Liberalism and Underdevelopment—Studies in the Disintegration of an Idea* (Bombay and London: Asia Publishing House, 1960).
24. David Granick, *The Red Executive* (Garden City, NY: Doubleday, 1960).
25. Michael Harrington, *The Other America, Poverty in the U.S.* (New York: Macmillan, 1963); Gabriel Kolko, *Wealth and Power in America: An Analysis of Social Class and Income Distribution* (New York: Praeger, 1962).
26. Abegglen, *The Japanese Factory.*
27. Robert Bellah, *Tokugawa Religion* (Glencoe: The Free Press, 1957).
28. Levy, "Contrasting Factors in the Modernization of China and Japan."
29. Abegglen, *The Japanese Factory.*
30. McClelland, *The Achieving Society.*

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31. C. Wright Mills, *The Power Elite* (New York: Oxford University Press, 1956); Fred J. Cook, *The Warfare State* (New York: Macmillan, 1962); also see Tristan Coffin, *The Armed Society* (Baltimore, MD: Penguin Books, 1964).
32. Eugene Staley, *The Future of Underdeveloped Countries* (New York: Harper, 1964).
33. Walt Whitman Rostow, *The Stages of Economic Growth, a Non-Communist Manifesto* (Cambridge: Cambridge University Press, 1962). The recent *New York Times* profile of Rostow observes:

    > Since McGeorge Bundy and Bill D. Moyers left the White House, Mr. Rostow, a former professor at the Massachusetts Institute of Technology, has been emerging as the White House spokesman on foreign affairs. . . . He now organizes and attends the President's Tuesday luncheon conferences. Secretary of State Dean Rusk, Secretary of Defense Robert S. McNamara and the White House Press Secretary, George Christian, are usually the only other guests. (*New York Times*, April 13, 1967)

34. Pablo González Casanova, *La Democracia en México* (Mexico: Era, 1965), p. 202.
35. Hoselitz, "Social Stratification and Economic Development."
36. John J. Johnson, ed., *The Role of the Military in Underdeveloped Countries* (Princeton, NJ: Princeton University Press, 1962); *The Military and Society in Latin America* (Stanford, CA: Stanford University Press, 1964); Edwin Lieuwen, *Arms and Politics in Latin America* (New York: Praeger, 1960); *Generals and Presidents, Neo-Militarism in Latin America* (New York: Praeger, 1964).
37. Frantz Fanon, *Les damnés de la terre* (Paris: Maspero, 1961); published and mistranslated as *The Wretched of the Earth* (New York: Grove Press, 1966).
38. José Luis Cecena, *El Capital Monopolista y la Economía de México* (Mexico: Cuadernos Americanos, 1963); Ricardo Lagos, *La Concentración del Poder Económico en Chile* (Santiago: Editorial del Pacifico, 1961); Carlos Malpica, *Guerra a la Muerte al Latifundio* (Lima: Ediciones Voz Rebelde, 1963); Jacinto Oddone, *La Burguesía Terrateniente Argentina* (Buenos Aires: Populares Argentinas).
39. See, e.g., José Luis de Imaz, *Los que Mandan* (Buenos Aires: EUDEBA, 1964).
40. Frantz Fanon, *The Wretched of the Earth*. The degree of capitalist penetration of underdeveloped countries was observed long ago by Rosa Luxemburg in *The Accumulation of Capital* (New York: Monthly Review Press, 1964), especially Section Three, pp. 329–467.
41. United Nations Economic Commission for Latin America, *The Economic Development of Latin America in the Postwar Period* (New York: United Nations, 1963), E/CN. 12/659.
42. United Nations Economic Commission for Latin America, *The Social Development of Latin America during the Postwar Period* (New York: United Nations, 1963), E/CN. 12/660.
43. Theodore R. Crevanna, ed., *Materiales para el Estudio de la Clase Media en América Latina*, 6 vols. (Washington: Unión Panamericana, 1950–51); Marshall Wolfe, *Las Clases Medias en Centro América: Características que Presentan en la Actualidad y Requisitos para su Desarrollo* (New York: United Nations), E/CN. 12/CCE/Rev. 2; and United Nations, *The Social Development of Latin America*; John L. Johnson, *Political Change in Latin America: The Emergence of the Middle Sectors* (Stanford, CA: Stanford University Press, 1958).
44. Robert Redfield, *The Folk Culture of Yucatan* (Chicago, IL: University of Chicago Press, 1941); "The Folk Society," *American Journal of Sociology*, Vol. 52, No. 4 (January 1941).
45. Robert Redfield, *The Little Community and Peasant Society and Culture* (Chicago, IL: University of Chicago Press, 1960); also see *The Primitive World and Its Transformations* (Ithaca, NY: Cornell University Press, 1955).
46. Manning Nash, *Machine Age Maya* (Glencoe: The Free Press, 1958).
47. Redfield, *The Little Community*.
48. Talcott Parsons, "Social Classes and Class Conflict in the Light of Recent Sociological Theory," in *Essays in Sociological Theory*, Rev. ed. (Glencoe: The Free Press, 1954), p. 324.
49. Mills, *The Power Elite*.
50. William H. Whyte, Jr., *The Organization Man* (New York: Simon and Schuster, 1956).
51. Johnson, *Political Change in Latin America*; "The Political Role of the Latin American Middle Sectors," *The Annals of the American Academy of Political and Social Science*, Vol. 334 (March 1961).

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52. Gino Germani, *Politica y Sociedad en una Epoca de Transición* (Buenos Aires: Paidós, 1962); *Politica e Massa* (Belo Horizonte: Publicaçóes de Revista Brasileira de Estudos Politicos, 1960).
53. Bert F. Hoselitz, "Economic Growth in Latin America," *Contributions to the First International Conference in Economic History, Stockholm 1960* (The Hague: Mouton & Co., 1960).
54. Andrew Gunder Frank, "Brazil; the Goulart Ouster," *The Nation*, April 27, 1964.
55. Kolko, *Wealth and Power in America*.
56. Anibal Pinto, "Concentración del Progreso Técnico y de sus Frutos en el Desarrollo Latinoamericano," *El Trimestre Económico*, Vol. 32, No. 125 (January–March 1965). See also his *Chile: Una Economía Dificil* (Mexico: Fondo de Cultura Económica, 1965).
57. Walt Whitman Rostow, *The Process of Economic Growth* (New York: Norton, 1952).
58. Most of the criticism of Rostow's book has, however, been superficial and largely limited to quibbling about details in the characterization of his stages. This superficiality is notably evident in the "Appraisals and Critiques" of "The Rostow Doctrine" by Meier, Kuznets, Cairncross, Habakkuk, and Gerschenkron in Gerald Meier, ed., *Leading Issues in Development Economics* (New York: Oxford University Press, 1964). It is revealing of the narrowness of American economics that Meier, whose book has been very favorably reviewed for its purported breadth of issues and appraisals, did not include the probably most penetrating criticism of Rostow so far by Paul A. Baran and Eric Hobsbawm, "The Stages of Economic Growth," *Kyklos* (Basel), Vol. 14, Fasc. 2 (1961).
59. Rostow, *The Stages of Economic Growth*, pp. 4, 6, 7, 39.
60. R. Palme Dutt, *India Today and Tomorrow* (London: Lawrence & Wishart, 1955); A. R. Desai, *Social Background of Indian Nationalism* (Bombay: Popular Book Depot, 1959); Jawaharlal Nehru, *The Discovery of India* (New York: John Day, 1946); V. B. Singh, *Indian Economy Yesterday and Today* (New Delhi: People's Publishing House, 1964).
61. Ibid.
62. Basil Davidson, *The African Slave Trade* (Boston, MA: Atlantic-Little Brown, 1961); and Jack Woddis, *Africa, the Roots of Revolt* (London: Lawrence & Wishart, 1960).
63. Eric Wolf, *Sons of the Shaking Earth* (Chicago, IL: University of Chicago Press, 1959).
64. Sergio Bagú, *Economia de la Sociedad Colonial. Ensayo de Historia Comparada de América* (Buenos Aires: Ateneo, 1949); Celso Furtado, *The Economic Growth of Brazil* (Berkeley, CA: University of California Press, 1963); Aldo Ferrer, *The Argentinian Economy: An Economic History of Argentina* (Berkeley, CA: University of California Press, 1967); Anibal Pinto, *Chile, Un Caso de Desarrollo Frustrado* (Santiago: Editorial Universitaria, 1958); Gunder Frank, *Capitalism and Underdevelopment in Latin America*; Ramiro Guerra y Sánchez, *Sugar and Society in the Caribbean* (New Haven, NJ: Yale University Press, 1964).
65. J. H. Boeke, *Economics and Economic Policy of Dual Societies* (New York: Institute of Pacific Relations, 1953); Jaques Lambert, *Os Dois Brasis (*Rio de Janeiro: Ministerio da Educaçáo e Cultura, n. d.). See also note 121.
66. Paul A. Baran, *The Political Economy of Growth* (New York: Monthly Review Press, 1957); Gunder Frank, *Capitalism and Underdevelopment in Latin America*. See also note 120.
67. See United Nations Conference on World Trade and Development (Geneva: 1964), UN Document Series, E/CONF. 46, and especially the Report by the Secretary-General cited in note 92.
68. Baran, *The Political Economy of Growth*; Gunnar Myrdal, *Rich Nations and Poor* (New York: Harper & Brothers, 1957), also issued under the title *Economic Theory and Underdeveloped Regions*; Yves Lacoste, *Les pays sous-developpés* (Paris: "Que Sais-Je?," Presses Universitaires de France, 1959); Fanon, *Les damnés de la terre*; Gunder Frank, *Capitalism and Underdevelopment in Latin America*.
69. Quoted in Baran, *The Political Economy of Growth*, pp. 149–150.
70. Gunder Frank, "The Development of Underdevelopment."
71. Ferrer, *The Argentinian Economy*; and "Reflexiones Acerca de la Politica de Estabilización en la Argentina," *El Trimestre Económico*, Vol. 30, No. 120 (October–December 1963).

    Two Argentinian scholars have recently written doctoral dissertations under Professor Walt Rostow at the Massachusetts Institute of Technology, attempting

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to identify in the economic history of their own country his series of stages of economic growth. The period of Pre-Conditions, they thought, was completed by 1914 when the railway net was finished and the entire rich area of the Pampas had been brought into pastoral or agricultural use. But somehow development did not follow, and the Take-Off did not occur, again by their reckoning, until 1933. What they did in this situation was to invent a wholly new stage of growth, or rather non-growth, for the Argentinian case, which they called The Big Delay. Even their Take-Off, moreover, has not been followed by rapid progress. Writing in 1959, the experts of the United Nations Economic Commission for Latin America [said], . . . "Since the time of the great world depression . . . per capita production has increased at an average rate scarcely half the rate of the increase registered between the beginning of the century and the onset of the depression." It appears, then, that Argentina had in fact attained a relatively high level of income by the earlier part of the century and that in more recent decades . . . the Argentine experience has been characterized by delay, stagnation, and—to take another word from the ECLA economists—"strangulation." (Carter Goodrich, "Argentina as a New Country," *Comparative Studies in History and Society*, Vol. VII [1964–65], pp. 80–81)

72. Thomas Mun, *England's Treasure by Forraign Trade, or the Balance of Our Forraign Trade Is the Rule of Our Treasure* (Oxford: Basil Blackwell, 1959), first published in 1664.
73. Richard Cantillon, *Essai sur la nature du commerce en général*, edited, with an English translation and other material, by Henry Higgs (New York: Augustus Kelley, 1964).
74. Karl Marx, *Capital*, Vol. III (Moscow: Foreign Languages Publishing House, n. d.).
75. Earl J. Hamilton, "American Treasure and the Rise of Capitalism," *Economica* (London), No. 27 (1929); *American Treasure and the Price Revolution in Spain, 1501–1650* (Cambridge, MA: Harvard University Press, 1934); *War and Prices in Spain 1651–1800* (Cambridge, MA: Harvard University Press, 1947). See also the extension of this work by P. Vilar, "Problems of the Formation of Capitalism," *Past and Present*, November 1956.
76. Eric Williams, *Capitalism and Slavery* (Chapel Hill, NC: University of North Carolina Press, 1944); reprinted by Russell & Russell, New York, 1963; and issued in paperback by Andre Deutsch, London, 1964.
77. Basil Davidson, *The African Slave Trade; Old Africa Rediscovered* (London: Gollancz, 1959).
78. The same error also applies to a further variant, which is associated particularly with Alexander Gerschenkron, *Economic Backwardness in Historical Perspective* (Cambridge, MA: Belknap Press of Harvard University, 1962). Gerschenkron introduces variations into the ideal types of development. He reasons that since the pattern of development of the late-comers, such as Germany, differs from that of those which developed earlier, it is only reasonable to suppose that the pattern of those still later—that is the still underdeveloped countries—will differ even more from the already established pattern and stages of growth. This analysis might indeed seem to be a major advance over the others. But it is not. As with the other proponents of the first mode, there is no hint in Gerschenkron that the underdeveloped countries also have a history that requires study; nor is there any hint that their history and their relations with the now developed countries are much more important for any serious attempt to understand and remove the causes of underdevelopment than is the study of the history of the developed part of the world, whose experience has been quite different. Gerschenkron's variety of the first mode must, therefore, also be judged inadequate.
79. The *New York Times* profile comments: "Mr. Rostow is an architect of the United States policy in Vietnam, and proud of it," *New York Times*, April 13, 1967. "W. W. Rostow once explained the State Department's rationale behind the arms race in the 1950's as forcing the USSR to 'waste' her resources for military purposes and thus denying her the use of these resources to sustain her growth rate," Two Labor Economists, "Tasks of the American Labor Movement," *Monthly Review*, Vol. 18, No. 11 (April 1967), p. 12. Is this also the rationale for the stages of growth Mr. Rostow is proud to impose on Vietnam and China in the 1960s?
80. Baran, *The Political Economy of Growth*.
81. Gunder Frank, *Capitalism and Underdevelopment in Latin America*.

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82. Martin Bronfenbrenner, "The Appeal of Confiscation in Economic Development," *EDCC*, Vol. 3, No. 3 (April 1955); "Second Thoughts on Confiscation," *EDCC*, Vol. 11, No. 4 (July 1963).
83. Daniel H. Garnick, "The Appeal of Confiscation Reconsidered: A Gaming Approach to Foreign Economic Policy," *EDCC*, Vol. 11, No. 4 (July 1963); and "Further Thoughts on Confiscation," *EDCC*, Vol. 12, No. 4 (July 1964).
84. Raymond F. Mikesell, ed., *U.S. Private and Government Investment Abroad* (Eugene, OR: University of Oregon, 1962).
85. Benjamin Higgins, "Foreign Investment and Foreign Aid," in his *Economic Development* (New York: Norton, 1959).
86. Chi Ming-Hon, "External Trade, Foreign Investment, and Domestic Development: The Chinese Experience 1840–1937," *EDCC*, Vol. 10, No. 1 (October 1961).
87. Harry Magdoff, *The Age of Imperialism* (New York: Monthly Review Press, 1969), p. 150.
88. Keith B. Griffin and Ricardo French-Davis, "El Capital Extranjero y el Desarrollo," *Revista de Economía* (Santiago), Vols. 83–84 (1964), pp. 16–22; and Chapter 9.
89. Ibid.; Cecena, *El Capital Monopolista y la Economía de México*; and Michael Kirdon, *Foreign Investments in India* (London: Oxford University Press, 1965).
90. Claude McMillan, Jr., Richard F. Gonzales, with Leo G. Erickson, *International Enterprise in a Developing Economy. A Study of U.S. Business in Brazil, M.S.U. Business Studies* (East Lansing, MI: Michigan State University Press, 1964), p. 205.
91. This and the following data on Canada are taken or computed from A. E. Safarian, *Foreign Ownership of Canadian Industry* (Toronto: McGraw-Hill Company of Canada, 1966), pp. 235, 241.
92. Report by the Secretary-General of the Conference, "Towards a New Trade Policy for Development," *Proceedings of the United Nations Conference on Trade and Development* (New York: United Nations, 1964), E/CONF.46/141, Vol. II, pp. 9–13, 42, and other documents of the Conference. It should be noted (cf. p. 13) that in comparing the underdeveloped countries' loss of capital due to declining terms of trade with the "net inflow of all types of finance (loans, investments and grants-in-aid)," the United Nations calculates the latter "including private re-investment," that is, including the investment capital that does not flow in at all, net or gross, but is generated in the underdeveloped countries themselves.
93. Andre Gunder Frank"Invisible Foreign Services or National Economic Development?" in pp. 181-191Andre Gunder Frank, *Latin America: Underdevelopment or Revolution* (New York: Monthly Review Press, 1969).
94. The 7.3 percent is computed from the $6,195 million service expenditures in ibid. as a percentage of the $84,458 million GNP in 1962 reported in United Nations Economic Commission for Latin America, *Estudio Económico de América Latina 1963* (New York: United Nations, 1964), E/CN.12/696/Rev. 1, p. 6. This document is also the source of all the data used in the computations of the articles cited in note 93. The 3 percent is computed from United Nations Commission for Latin America, *El Financiamiento Externo de América Latina* (New York: United Nations, 1964), E/CN.12/649/Rev. 1, p. 33.
95. *Relatorio de la III Reunion de Facultades y Escuelas de Economía de América Latina, Mexico, June 21–25, 1965*, published in *Presente Económico* (Mexico), Vol. 1, No. 1 (July 1965), p. 63, and in *Comercio Exterior* (Mexico), Vol. 15, No. 6 (June 1965), p. 439; and *Desarrollo* (Colombia), No. 1 (January 1966), pp. 7–9.
96. Arturo Frondizi, *A Luta Antiimperialista* (Sao Paulo: Editora Brasilense, 1958); a translation of *Petroleo y Política* (Buenos Aires: Editorial Raigal, 1955).
97. Quoted in Cámara Textil del Norte, "Las Inversiones Extranjeras y el Desarrollo Económico de México," *Problemas Agrícolas e Industriales de México*, Vol. 9, No. 1–2 (1957).
98. For more detailed analysis of this problem, see Ceceña, *El Capital Monopolista y la Economía de México*, Fernando Carmona, *El Drama de América Latina, El Caso de México* (Mexico: Cuadernos Americanos, 1964); Frondizi, *A Luta Antiimperialista*; Silvio Frondizi, *La Realidad Argentina*, 2nd. ed. (Buenos Aires: Praxis, 1967), Vol. I; Hamza Alavi, "U.S. Aid to Pakistan," *Economic Weekly* (Bombay), Special Number (July 1963); Chapters eight and nine of this book; Gunder Frank, *Capitalism and Underdevelopment in Latin America*; and "Foreign Investment in Latin American Underdevelopment from Colonial Conquest to

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111. See works cited in notes 38, 56, and 66.
112. United Nations Economic Commission for Latin America, *The Economic Development of Latin America in the Postwar Period*, and other publications.
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161. Kunkel, "Psychological Factors in the Analysis of Economic Development," pp. 72–73, 82. For a similar criticism also see Eisenstadt, "The Need for Achievement."
162. This effort is reminiscent of the famous but unsuccessful attempt to remedy functionalists' accounting for the existence of institutions through reliance on teleology by George C. Homans and David M. Schneider in their *Marriage, Authority, and Final Causes. A Study of Unilateral Cross-Cousin Marriage* (Glencoe: The Free Press, 1955). Rejecting the final cause of societal equilibrium as an explanation for an institution's existence, Homans and Schneider sought to substitute an identifiable efficient cause; though strangely their "efficient cause" was an internal state, that is, another final cause similar to the ones criticized here.
163. Kunkel, "Values and Behavior in Economic Development," pp. 275, 277.
164. Nash, "Introduction," in "Psycho-Cultural Factors in Asian Economic Growth," p. 4. Emphasis added.
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166. McClelland, "Motivational Patterns in Southeast Asia with Special Reference to the Chinese Case," and *The Achieving Society*, pp. 412–413.
167. McClelland, *The Achieving Society*, p. 423.
168. McClelland, "Motivational Patterns in Southeast Asia with Special Reference to the Chinese Case."
169. "Mr. Rostow's former university colleagues on the old Kennedy White House staff…are savagely critical of his increasing influence, and they condemn his aggressive intellectualism as self-serving opportunism that consoles the President but tends to mislead him, particularly on Vietnam," *New York Times*, April 13, 1967.
170. Further theoretical limitations of the functionalist part of this social science theory are examined in Andre Gunder Frank, Functionalism and Dialectics, in. Andre Gunder Frank, Latina America: Underdevelopment or Revolution (New York: Monthly Review Press 1969), pp. 95–107.

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